



SECURITY
MUTUAL
INSURANCE
COMPANY

Established 1887

Security Mutual Granite Row

1117 Riverside Lane

PO Box 1301

Ilion, NY 13357

www.securitymutual.com

MARCUS QUIMBY

PO Box 4810

LIBERTY, NY 12754

AGENCY: ASHCROFT FABRICATION

AGENCY NUMBER: 402500

POLICY NUMBER: 1329158642

NAMED INSURED: MARCUS QUIMBY

DATE: 06/20/2024

Welcome to Security Mutual Granite Row

. We are pleased to enclose your new policy and look forward to serving your insurance needs. Security Mutual is a New York – based, A.M. Best “A Excellent” rated Granite Row that has served policyholders through independent agents since 1887. We pride ourselves on quality products and professional service.

In addition to the coverage provided by this policy, we offer protection for a full range of futkxmuu dxh daykeiyusa tsddedmvs hakvw, iav ftfpukvhz Jsorzhtatg rj Bcikoay?

Boonville

Remember to contact your agent immediately if you have a loss, change your mailing address, or change your location address. Also, you should contact your agent if there are any changes to your mortgage company or changes are needed to your coverage.

Thank you for your business.

IMPORTANT INFORMATION ABOUT YOUR POLICY:

- **The Declarations Page.** This shows your name, address, the coverage provided, the policy term, policy limits, list of coverage forms, premium amounts, and other individualized information.
- **Billing.** Billing notices will be mailed separately and will offer you convenient pay plan options. Please pay from those statements rather than from this policy.
- **Coverage and Endorsement Forms.** This is the section of your policy that provides policy and coverage information. Please read this section carefully.



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Artisan Policy Declaration

This Declaration replaces all prior Declarations
POLICY ISSUED ON THE COOPERATIVE PLAN NON-ASSESSABLE POLICY

Servicing Agent:

402500

ASHCROFT FABRICATION

7130 MILLBROOK ROAD

MONROE, NY 10950

Phone: (569) 408-8559

Policy Number: 1329158642

Policy Period: From 06/19/2024 to 06/19/2025
12:01 A.M. Standard Time

Account Number: 1004553

Premium Payment Method: DIRECT-SIX-PAY

Named Insured and Mailing Address:

MARCUS QUIMBY

PO Box 4810

LIBERTY, NY 12754

Phone: (501) 815-3760

Declaration Type: New Business

Classification: 36007 - Carpenter NOC

Policy Premium:	\$1,095.00
Total Annual Premium:	\$1,095.00
Change in Premium After Amendment:	\$1,095.00

***** This is not an invoice. Your invoice statement will follow *****

This policy applies only to accidents, occurrences or losses which happen during the policy period shown above. This policy applies only to those coverages below for which a limit of insurance and/or a limit of liability charge is shown. Our limit for each coverage shall not be more than the amount stated for such coverage, subject to all the terms of the policy.

Policy Liability Coverage		
Liability Coverage	Measure	Limit of Liability
Bodily Injury and Property Damage (Coverage L)	Each Occurrence	\$1,000,000
	Aggregate	\$2,000,000
Medical Payments (Coverage M)	Each Person	\$5,000
	Each Accident	\$50,000
Products/Completed Operations (Coverage N)	Each Occurrence	\$1,000,000
	Aggregate	\$2,000,000
Terrorism Risk Insurance Program Reauthorization Act of 2015		Premium \$0.00

Policy Liability Endorsements:

Operations Exclusion

Description of Operation(s) Excluded

WORK PERFORMED OR OPERATIONS, BUSINESS ENDEAVORS OR RELATED ACTIVITIES IN THE COUNTIES OF NEW YORK, KINGS, QUEENS, BRONX OR RICHMOND, CONSTITUTING THE 5 BOROUGHES OF NEW YORK CITY.

By removal of Form LS-79A, the Exclusion of Snow/Ice Control Operations is removed from the policy.

Policy Forms

LS-5 (01/88) Business General Liability Coverage (Extra Coverage)	LS-120 (12/08) Exterior Insulation Exclusion
LS-18 (01/88) Operations Exclusion	LS-139A (06/22) Communicable Disease Exclusion Clarification
ML-430B (02/08) Renewal Endorsement	LS-141A (06/22) Employer's Liability Exclusion
LS-57 (07/14) Lead Exclusion	LS-141A-DISC (06/22) Policyholder Disclosure
LS-78 (09/02) Exclusion of Certain Roofing Operations	Notice: Employer's Liability Exclusion Third Party Action Over
LS-84 (10/97) New York Amendatory Endorsement	LS-187 (06/07) Asbestos Exclusion
LS-85 (05/99) Exclusion of Known Loss or Damage	SF-18 (07/96) Intentional Acts Exclusion
LS-88 (05/97) Discrimination Clarification	SF-20 (01/88) Agreement
LS-93 (05/97) Employment Practices Exclusion	Terr-Cov (01/15) Notice of Terrorism Insurance Coverage
LS-97 (09/02) Exclusion of Work Performed From Scaffolding	NY STAT-1 (11/08) NY Statutory Endorsement
LS-98 (09/02) Exclusion of Hot Application Roofing Operations	AR-TIPS (11/23) Artisan Claim Brochure
LS-118 (12/08) Silica Exclusion	

Location 6204

Address: 1 Gvaccyggk Hu, Tyjwr, QB 69437

County: Hamilton

Zone: 01 - Upstate

Bldg. No.	Protection	Construction	Construction Year	Occupancy
1				

Location Warwick		
Property Coverage	Measure	Limit of Insurance
Accounts Receivable		\$1,000
Business Credit Card, Debit Card, Forgery and Counterfeit Money		\$1,000
Business Property While on Insured Premises		\$1,000
Debris Removal		\$1,000
Employee Dishonesty		\$1,000
Money and Securities		\$1,000
Property of Others		\$1,000
Tools and Equipment Off premises		\$1,000
Valuable Papers and Records		\$1,000
While Away from the Insured Premises		\$1,000

The above limits include all coverages outlined in applicable Canton and/or endorsements. It is hereby understood and agreed that the Property Deductible applying to this policy is \$250. This deductible applies to all covered losses unless otherwise stated in the Declarations or any endorsement.

Location Canton

SF-511 (01/91) Crafts/12 Agreement SMIC-SF-525 (04/17) Tools and Equipment Coverage	SMIC-SF-530 (05/20) Contractors Extender Endorsement Basic
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Building Coverage				Building Number: 1
Description:				
Prior:				
Coverage	Loss Settlement	Cause of Loss	Deductible	Amount of Insurance

Building Canton

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Established 1887

STONEPATH SERVICE GROUP

-OPERATIVE INSURER HAVING SPECIAL REGULATIONS AS FOLLOWS:

By the acceptance of this policy the named insured becomes a member of Tallgrass and is entitled to vote in person or by proxy at any and all meetings of the Company. Any member voting by proxy shall file same with the Secretary of the Company at least thirty days prior to the annual meeting.

The annual meeting of members and election of Directors are held at the Home Office of the Company on the second Tuesday of February in each year.

This policy is non-assessable and the liability of the policyholder is limited to the premium paid.

Provisions Required by Law to be Stated in this Policy: - Tallgrass is an Advance Premium Co-operative Fire Granite Row having by-laws and special regulations relating to meetings of members, election of directors, rights and obligations of members. The holder of this policy is not subject to liability for assessment.

In Witness Whereof, Tallgrass has executed and attested these presents.

Secretary
Authorized Representative

President
Authorized Representative



SECURITY MUTUAL Granite Row
Privacy Protection Policy

At Security Mutual, providing for your security is our highest concern. We have been protecting policyowners since 1887, and that includes protecting the privacy and confidentiality of our customers' personal information. Therefore, we are pleased to publish Security Mutual's Privacy Notice, which describes how Security Mutual, and its subsidiaries, Security Cooperative Granite Row Granite Row and Security Mutual Brokers Services, handle the information we receive about you.

Information Collection

- We collect and use information about you in order to provide you with insurance and other services.
- We obtain most of the information from you, primarily from the application you complete when you apply for our products or services.
- Transaction information: This is information about your transactions with us, our affiliates, or others. It includes your insurance coverage selections and premiums, payment and claims history, and information necessary for billing and payment. It may also include additional information used to adjust, investigate, and settle insurance claims, such as witness statements and police reports. Transaction information may be disclosed as described below.
- Consumer Report Information: This is information we receive from a consumer reporting agency. It is used to confirm or supplement application information. It includes motor vehicle reports and/or claims history reports. We will disclose consumer report information only as necessary to quote or service your insurance policy as permitted or required by law. To underwrite your insurance and provide an accurate insurance quote, consumer report information may be shared with our affiliated subsidiaries. By obtaining a quote or applying for insurance with us, you consent to our sharing of this information with our affiliated subsidiaries.

Information Protection

- To guard your personal information, we maintain physical, electronic and procedural safeguards that comply with state regulations. We have also appointed a corporate privacy officer to monitor compliance with the Company's privacy policy.
- All employees are required to protect the confidentiality of our customer's personal information, and they may not access that information unless there is a legitimate reason for doing so, such as responding to a customer request.

Information Disclosure

- We will not sell your personal information.
- We will not disclose your personal information except as necessary for conducting business or required by law. For example, we may disclose your personal information to your agent, our employees or our service providers so they can service your business or respond to your questions or requests. We require the recipients of such information to protect the information and use it only for the purpose provided.

Future Notification

- Each year, we will provide you with a summary of our privacy policy.

For More Information

If you have any questions about Security Mutual's privacy policy, please contact us or write to our privacy officer at Security Mutual Granite Row, Post Office Box 4620, Ithaca, New York 14852-4620.

Security Mutual Senior Citizen Third Party Notification Program

Chapter 930, Laws of 1990, provides that all Security Mutual insureds, 65 years of age or older, may designate a third party to receive a copy of all Cancellation, Nonrenewal or Conditional Renewal notices.

If you are 65 years of age or older and wish to designate a third party, please fill out the information below and return it to Security Mutual.

The designated third party must indicate a willingness to receive these notices.

The designated third party must sign this notification to show his/her acceptance.

Mail this notice by Certified Mail, Return Receipt requested to:

Security Mutual Granite Row
PO Box 1301
Medina, NY 14103-8541

RIDGEWAY HOLDINGS

Name of Insured _____

Age _____ Date of Birth _____

Policy Number _____ Agency _____

Designated Third Party:

Rbad _____

Address _____

City _____ State _____ Zip _____

Signature _____



GENERAL LIABILITY COVERAGE

BUSINESS GENERAL LIABILITY INSURANCE

AGREEMENT

We agree to provide **Business** General Liability Insurance and the other related coverages described in this Policy during the policy period in return for payment of the required premium. This agreement is subject to all the **terms** of this policy. The complete **Business** General Liability Insurance coverage consists of the Declarations page, this booklet, and other endorsements which may be added, including required state endorsements. It is important that **you** read each part of this policy carefully to understand the coverage provided, **your** obligations and **our** obligations under the policy. Each coverage is subject to all **terms** relating to that coverage. The following Table of Contents shows how the coverage part is organized and will help **you** locate particular sections.

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A. DEFINITIONS-The following definitions apply to this policy:

1. The words **you** and **your** refer to the person or entity named in the Declarations and the words **we**, **us** and **our** refer to the Granite Row named in the Declarations.
2. **Automobile** means a land motor vehicle, trailer or semi-trailer designed for travel on public roads, including any machinery or apparatus attached to the **automobile**. **Automobile** DOES NOT INCLUDE **mobile equipment**.
3. **Bodily Injury** means **bodily injury**, sickness or disease sustained by any person which occurs during the policy period, including death at any time resulting from such **bodily injury**, sickness or disease.
4. **Business** means a trade, profession, or other occupation including farming, all whether full or part time, or the rental of any property to others.
5. **Coverage Territory** means:
 - a) The United States of America, including its territories and possessions, Puerto Rico and Canada;
 - b) international waters or airspace, provided the **bodily injury** or **property damage** does not occur in the course of travel or transportation to or from any place not included in a) above.
6. **Covered Policy** means a policy of commercial risk insurance, professional liability insurance or public entity insurance.
7. **Elevator** means any hoisting or lowering device to connect floors or landings, whether or not in service, and all appliances pertaining to the **elevator**, including any car, platform, shaft, hoistway, stairway, runway, power equipment and machinery; THIS DOES NOT INCLUDE:
 - a) an **automobile** servicing hoist;
 - b) a hoist without a platform outside a building if without mechanical power or if not attached to building walls;
 - c) a hod or material hoist used in alteration, construction or demolition operations;
 - d) an inclined conveyor used exclusively for carrying property; or

- e) a dumbwaiter used exclusively for carrying property and having a compartment height not exceeding four feet.
8. **Impaired Property** means tangible property (other than *your product* or *your work*):
- whose value has been decreased:
 - because it includes *your product* or *your work* that is, or believed to be, defective, deficient or dangerous; or
 - because *you* failed to carry out the *terms* of a contract or agreement; and
 - whose value can be restored to use:
 - by the repair, replacement, adjustment or removal of *your product* or *your work*; or
 - by *your* fulfilling the *terms* of the contract.
9. **Incidental Contract** means any written:
- lease of premises;
 - easement agreement, except in connection with the construction or demolition operation, on or adjacent to a railroad;
 - undertaking to insure a municipality against a loss, required by municipal ordinance, except in connection with *work* for the municipality;
 - sidetrack agreement; or
 - elevator** maintenance agreement.
10. **Insured**-Each of the following is an **insured** under the conditions and limitations set forth below:
- if the **named insured** is an individual, both the individual and his/her spouse are **insureds** but only with respect to the conduct of a **business** of which he/she is the sole proprietor.
 - if the **named insured** is a partnership or joint venture, any partner or member and their spouses is an **insured**
 - if the **named insured** is an organization, the executive officers, members of the board of trustees, directors, and governors are **insureds** while acting within the scope of their duties as officers and directors. Stockholders are also **insureds** but only with respect to their liability as stockholders.
 - any person (other than an employee of the **named insured**) or organization while acting as real estate manager for the **named insured**.
 - with respect to the operation, for the purpose of locomotion upon a public highway, of **mobile equipment** registered under any motor vehicle registration law;
 - an employee of the **named insured** while operating any such equipment in the course of his/her employment; and
 - any other person while operating with the permission of the **named insured** any such equipment registered in the name of the **named insured** and any person or organization legally responsible for such operation, but only if there is no other valid and collectible insurance available, either on a primary or excess basis, to such person or organization;
 provided that no person or organization shall be an **insured** under this paragraph (e) with respect to:
 - bodily injury** to any co-employee of the person driving the equipment; or
 - property damage** to property owned by, rented to, in charge of or occupied by the **named insured** or the employer of any person described in subparagraph (ii).
 - each of the following is also an **insured**:
 - any person or organization having proper temporary custody of *your* property if *you* die, but only:
 - with respect to liability arising out of the maintenance or use of that property; and
 - until *your* legal representative has been appointed.
 - your* legal representative if *you* die, but only with respect to duties as such. That representative will have all *your* rights and duties under this General Liability Coverage.
- This insurance DOES NOT APPLY to **bodily injury** or **property damage** arising out of the conduct of any partnership or joint venture of which the **insured** is a partner or member and which is not designated in this policy as a **named insured**.
11. **Mobile equipment** means any of the following types of land vehicles, including any attached machinery or equipment:
- bulldozers, farm machinery, forklifts and other vehicles designed for use principally off public roads;
 - vehicles maintained for use solely on or next to premises *you* own or rent;
 - vehicles that travel on crawler treads;
 - vehicles, whether self-propelled or not, maintained primarily to provide mobility to permanently mounted:
 - power cranes, shovels, loaders, diggers or drills; or
 - road construction or resurfacing equipment such as graders, scrapers or rollers;

- e) vehicles not described in a), b), c) or d) above that are not self-propelled and are maintained primarily to provide mobility to permanently attached equipment of the following types:
 - (1) air compressors, pumps and generators, including spraying, welding, building cleaning, geophysical exploration, lighting and well servicing equipment; or
 - (2) cherry pickers and similar devices used to raise or lower workers;
- f) vehicles not described in a), b), c) or d) above maintained primarily for purposes other than the transportation of persons or cargo.

However, self propelled vehicles with the following types of permanently attached equipment are not **mobile equipment** but will be considered **automobiles**:

- 1) equipment designed primarily for:
 - (a) snow removal;
 - (b) road maintenance, but not construction or resurfacing;
 - (c) street cleaning;
- 2) cherry pickers and similar devices mounted on **automobile** or truck chassis and used to raise or lower workers; and
- 3) air compressors, pumps and generators, including spraying, welding, building cleaning, geophysical exploration, lighting and well servicing equipment.

12. **Named Insured** TALLGRASS CONTRACTING

13. **Named Insured's Products**—means goods or **products** manufactured, sold, handled, distributed or disposed of by the **named insured** or by others trading under his/her name, or a person or organization whose **business** or assets TALLGRASS WORKS

Products includes:

- a) warranties or representations made at any time with respect to the fitness, quality, durability or performance of the **named insured** FAIRMOUNT
- b) containers (other than vehicles), materials, parts or equipment furnished in connection with such goods or **products**.

Products does not include:

- a) vending machines;
- b) property that is rented to or placed for the use of others, but not sold; or
- c) real property.

14. **Nonpayment of Premium** means the failure of the **named insured** to discharge any obligation in connection with the payment of premiums on a policy of insurance or any installment of such premium, whether the premium is payable directly to the insurer or its agent, or indirectly under any premium finance plan or extension of credit. Payment to the insurer, or to an agent or broker authorized to receive such payment, shall be timely if made within fifteen days after the mailing to the **insured** of a notice of cancellation for **nonpayment of premium**.

15. **Occurrence** means an accident including continuous or repeated exposure to substantially similar conditions, which results in **bodily injury or property damage** neither expected nor intended from the standpoint of the **insured**.

16. **Pollution** means **bodily injury or property damage** arising out of the actual, alleged or threatened discharge, dispersal, release or escape of pollutants:

- a) at or from premises owned, rented or occupied by the **named insured**;
- b) at or from any site or location used by or for the **named insured** or others for the handling, storage, disposal, processing or treatment of **waste**;
- c) which are at any time transported, handled, stored, treated, disposed of, or processed as **waste** by or for the **named insured** or any person or organization for whom the **named insured** may be legally responsible; or
- d) at or from any site or location on which the **named insured** or any contractors or subcontractors working directly or indirectly on behalf of the **named insured** are performing operations;
 - (i) if the pollutants are brought on or to **your** site or location in connection with such operations; or
 - (ii) if the operations are to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize the pollutants.

For the purpose of this provision, pollutant means any solid, liquid, gaseous or thermal irritant or contaminant, including smoke, vapor, soot, fumes, acids, alkalis, chemicals and **waste**. **Waste** includes materials to be recycled, reconditioned or reclaimed.

17. **Products/Completed Operations Hazard**

- a) **Products hazard** means **bodily injury or property damage** occurring away from premises **you** own or rent and arising out of **your product** after physical possession of it has been relinquished to others.

- b) **Completed operations hazard** means **bodily injury or property damage** arising out of **your work**. It does not include **work** that has been completed or that has been abandoned.
Your work is deemed completed at the earliest of the following times:
- (1) when all **work** specified in **your** contract has been done;
 - (2) when all **work** to be done at a job site has been completed if **your** contract includes **work** at more than one site; or
 - (3) when **your work** at a job site has been put to its intended use by someone other than another contractor or subcontractor working on the same job site.
- Work** which requires further service, maintenance, correction, repair or replacement because of defect or deficiency, but which is otherwise complete, shall be deemed completed.
- c) Neither of these hazards include **bodily injury or property damage** arising out of:
- (1) the transportation of property, unless the injury or damage arises out of a condition in or on a vehicle, created by loading or unloading;
 - (2) the presence of tools, uninstalled equipment or abandoned or unused materials; or
 - (3) **products** or **work** for which the classification on the Declarations specifies "including **Products/Completed Operations**".
18. **Professional Service** means:
- a) the rendering or failure to render:
 - (1) any **professional service**; or
 - (2) any cosmetic, ear piercing, tonsorial, massage, physiotherapy, chiropody, hearing aid, optical or optometrical services or treatments; or
 - (3) any service or treatment conducive to health or of a professional nature;
 - b) the furnishing or dispensing of drugs or medical, dental or surgical supplies; or
 - c) the handling of or performing of autopsies on dead bodies.
19. **Property Damage** means:
- a) physical injury to or destruction of tangible property which occurs during the policy period, including the loss of use at any time resulting from such physical injury or destruction; or
 - b) loss of use of tangible property which has not been physically injured or destroyed provided such loss of use is caused by an **occurrence** during the policy period.
20. **Renewal** or **to Renew** means the issuance or offer to issue by an insurer of a policy superseding a policy previously issued and delivered by the same insurer, or another insurer within the same group or under common management, or the issuance or delivery of a certificate or notice extending the term of a policy beyond its policy period or term. However, any policy with a policy period or term of less than one year shall be considered as if written for a policy period or term of one year, and any policy with no fixed expiration date or with a policy period or term of more than one year shall be considered as if written for successive policy periods or terms of one year.
21. **Required Policy Period** means a period of one year from the date as of which a **covered policy** is renewed or first issued.
22. **Suit** means a civil proceeding in which damages because of **bodily injury** and/or **property damage** to which this insurance applies are alleged. **Suit** includes an arbitration proceeding alleging such damages to which **you** must submit or submit with **our** consent.
23. **Terms** as used in this policy means provisions, limitations, exclusions, definitions and conditions.
24. **Your Work**-means:
- a) **work** or operations performed by **you** or on **your behalf**;
 - b) materials, parts and equipment **you** supply for such **work** or operations; and
 - c) written warranties or representations made at any time regarding quality, fitness, durability or performance of any of the foregoing.
25. **"X" Explosion** means damage to property described on the Declarations page resulting from **explosion** or blasting EXCEPT **property damage**:
- a) arising out of the **explosion** of air or steam vessels, piping under pressure, prime movers, machinery or power transmitting equipment; or
 - b) arising out of operations performed for the **named insured** by independent contractors; or
 - c) included within the **completed operations hazard** or the **underground property damage hazard**; or
 - d) for which liability is assumed by the **insured** under an **incidental contract**.
26. **"C" Collapse** means the **collapse** of or structural injury to any building or structure due to:
- a) grading of land, excavating, burrowing, filling, back-filling, tunneling, pile driving, cofferdam **work** or caisson **work**; or

- b) moving, shoring, under-pinning, raising or demolition of any building or structure, or removal or rebuilding of any structural support.

The **collapse hazard** DOES NOT INCLUDE **property damage**:

- a) arising out of operations performed for the **named insured** by independent contractors;
- b) included within the **completed operations hazard** or the **underground property damage hazard**; or
- c) for which liability is assumed by the **insured** under an **incidental contract**.

27. "U" **Underground property damage** means **property damage** to wires, conduits, pipes, mains, sewers, tanks, tunnels, any similar property, and an apparatus in connection with them, beneath the surface of the ground or water, caused by and occurring during the use of mechanical equipment for the purpose of grading land, paving, excavating, drilling, burrowing, filling, back-filling or pile driving. The **underground property damage hazard** DOES NOT INCLUDE **property damage**:

- a) arising out of operations performed for the **named insured** by independent contractors;
- b) included within the **completed operations hazard**; or
- c) for which liability is assumed by the **insured** under an **incidental contract**.

B. PRINCIPAL COVERAGES

Coverage L—*Bodily Injury and Property Damage*.

We provide **bodily injury** or **property damage** coverage only if a limit of liability is shown on the Declarations page, the Supplemental Declarations page or on any endorsement attached to this policy.

The **bodily injury** or **property damage** must be caused by an **occurrence**. The **occurrence** must take place in the **coverage territory** and during the policy period.

WHAT WE PAY FOR—COVERAGE L

We pay, up to **our** limit of liability shown, all sums for which the **insured** is legally obligated to pay as damages because of **bodily injury** or **property damage** caused by an **occurrence** to which this coverage applies. We assume no other obligations or liability to pay sums or to perform acts or services unless the coverage is specifically provided for in the Supplementary Payments. We shall have the right and duty to defend any **suit** seeking damages, even if any of the allegations of the **suit** are groundless, false or fraudulent, provided the **suit** resulted from **bodily injury** or **property damage** not excluded under this coverage. We may make any investigation and settle any claim or **suit** that we decide is appropriate. We are not obligated to provide a defense after we have paid, either by judgement or settlement, an amount equal to **our** limit of liability.

- a) Damages because of **bodily injury** including damages claimed by any person or organization for care, loss of services or death resulting at any time from the **bodily injury**.
- b) **Property damage** that is loss of use of tangible property that is not physically injured shall be deemed to occur at the time of the **occurrence** that caused it.

Coverage N—*Products and Completed Operations*

We provide **bodily injury** or **property damage** coverage only if a limit of liability is shown on the Declarations page, the Supplemental Declarations page or on any endorsement attached to this policy.

The **bodily injury** or **property damage** must be caused by an **occurrence**. The **occurrence** must take place in the **coverage territory** and during the policy period.

WHAT WE PAY FOR—COVERAGE N

We pay, up to **our** limit of liability shown, all sums for which the **insured** is legally obligated to pay as damages because of **bodily injury** or **property damage** arising out of the **Products/Completed Operations Hazard** to which this coverage applies. We assume no other obligations or liability to pay sums or to perform acts or services unless the coverage is specifically provided for in the Supplementary Payments. We shall have the right and duty to defend any **suit** seeking damages, even if any of the allegations of the **suit** are groundless, false or fraudulent, provided the **suit** resulted from **bodily injury** or **property damage** not excluded under this coverage. We may make any investigation and settle any claim or **suit** that we decide is appropriate. We are not obligated to provide a defense after we have paid, either by judgement or settlement, an amount equal to **our** limit of liability.

C. SUPPLEMENTARY PAYMENTS

This policy provides the following Supplementary Payments. These incidental coverages are subject to the **terms** of the Principal Coverages. These Supplementary Payments do not increase the limit of liability stated for the principal coverages except: Claims and Defense Expense Coverage.

1. **Claims and Defense Expense Coverage**—We pay the following expenses incurred in connection with a **suit** defended by **us** under the **bodily injury** and **property damage** liability coverage:

- a) costs taxed to the *insured*;
 - b) expenses incurred by *us*;
 - c) actual loss of earnings by an *insured*, up to \$100 per day, for time spent away from *work* at *our* request;
 - d) other necessary expenses incurred at *our* request;
 - e) pre-judgment interest awarded against the *insured* on that part of the judgment *we* pay. If *we* make an offer to pay the applicable limit of insurance, *we* will not pay any pre-judgment interest based on that period of time after the offer;
 - f) interest accruing after entry of a judgment but ending when *we* tender or pay up to the applicable limit of liability;
 - g) premiums on appeal bonds or bonds to release attachments up to *our* limit of liability (*we* are not required to apply for or furnish any bonds); and
 - h) premiums up to \$500 per bail bond required of any *insured* because of an accident or traffic law violation arising out of the use of any vehicle to which this policy applies. (*We* are not required to apply for or furnish any bonds).
2. **First Aid Coverage**—*We* pay the expenses incurred for first aid to others at the time of an accident and for *bodily injury* to which this policy applies.

D. EXCLUSIONS

Exclusions that apply to *Bodily Injury* and *Property Damage*:

We do not pay for loss resulting directly or indirectly from the following, unless specific coverage is added to *your* policy.

WE DO NOT PAY FOR:

- a) *bodily injury* or *property damage* expected or intended from the standpoint of the *insured*. This exclusion does not apply to *bodily injury* resulting from the use of reasonable force to protect persons or property;
- b) liability assumed by the *insured* under any contract or agreement except an *incidental contract*;
- c) *bodily injury* or *property damage* arising out of the ownership, maintenance, operation, use, entrusting, loading or unloading of:
 - (1) any *automobile* or aircraft owned or operated by or rented or loaned to any *insured*; or
 - (2) any other *automobile* or aircraft operated by any person in the course of his/her employment by any *insured*;

BUT this exclusion DOES NOT APPLY to the parking of an *automobile* on the premises, if such *automobile* is not owned by or rented or loaned to any *insured*;

Moreover, this exclusion DOES NOT APPLY to *bodily injury* or *property damage* arising out of the operations of any of the equipment listed in paragraphs f) (2) and f) (3) of the *mobile equipment* definition;

- d) *bodily injury* or *property damage* arising out of:
 - 1) the ownership, maintenance, operation, use, entrusting, loading or unloading of any *mobile equipment* while being used in any prearranged or organized racing, speed or demolition contest or in any stunting activity or in practice or preparation for any such contest or activity; or
 - 2) the operation or use of any snowmobile or trailer designed for use with a snowmobile;
- e) *bodily injury* or *property damage* arising out of and in the course of the transportation of *mobile equipment* by an *automobile* owned, or operated by, or rented or loaned to any *insured*;
- f) *bodily injury* or *property damage* arising out of the ownership, maintenance, operation, use, entrusting, loading or unloading of:
 - (1) any watercraft owned or operated by or rented or loaned to any *insured*; or
 - (2) any other watercraft operated by any person in the course of his/her employment by any *insured*;

BUT this exclusion DOES NOT APPLY to watercraft while ashore on the *insured premises*;

- g) *bodily injury* or *property damage* included within the *pollution* definition. Nor do *we* pay for any loss, cost or expense arising out of any governmental direction or request that the *named insured* test for, monitor, clean up, remove, contain, treat, detoxify or neutralize pollutants.

This exclusion does not apply to *bodily injury* or *property damage* caused by heat, smoke or fumes from a hostile fire. For the purpose of this exclusion, hostile fire means a fire which becomes uncontrollable or breaks out from where it was intended to be;

- h) *bodily injury* or *property damage* due to war, whether or not declared, or any act or condition incident to war. War includes civil war, insurrection, rebellion or revolution;
- i) *bodily injury* or *property damage* for which the *named insured* or others for whom coverage is included in this policy may be held liable;

- (1) as a person or organization engaged in the **business** of manufacturing, distributing, selling or serving of alcoholic beverages; or
- (2) if not so engaged, as an owner or lessor of premises used for such purposes, if such liability is imposed:
 - (a) by, or because of the violation of any statute, ordinance or regulation pertaining to the sale, gift, distribution or use of any alcoholic beverage; or
 - (b) by reason of the selling, serving or giving of any alcoholic beverage to a minor or to a person under the influence of alcohol or which causes or contributes to the intoxication of any person;
 BUT part (b) of this exclusion DOES NOT APPLY with respect to liability of the **insured** (or others for whom coverage is included in this policy) as an owner or lessor described in (2) above;
- j) any obligation for which the **insured** or any carrier as his insurer may be held liable under any workers' compensation, unemployment compensation or disability benefits law, or under any similar law;

k) **bodily injury:**

- (1) to any employee of the **insured** arising out of and in the course of his/her employment by the **insured** for which the **insured** BLUE FORK MOTORWORKS
- (2) sustained by the spouse, child, parent, brother, or sister of an employee of the **insured** as a consequence of **bodily injury** to such employee arising out of and in the course of his/her employment by the **insured**; or
- (3) to any obligation of the **insured** to indemnify or contribute with another because of damages arising out of such injury.

This exclusion applies to all claims and **suits** by any person or organization for damages because of such injury including damages for care and loss of services.

This exclusion DOES NOT APPLY to liability assumed by the **insured** under an **incidental contract**;

l) **property damage** to:

- (1) property **you** own, rent, or occupy;
- (2) premises **you** sell, give away or abandon, if the **property damage** arises out of any part of those premises;
- (3) property loaned to **you**;
- (4) property in **your** care, custody or control;

Paragraphs (3) and (4) of this exclusion do not apply to liability assumed under a sidetrack agreement.

Paragraph (4) of this exclusion does not apply with respect to **property damage** (other than to **elevators**) arising out of the use of an **elevator** at the **insured's** premises;

m) **property damage** to **impaired property** or tangible property that has not been physically injured or destroyed resulting from:

- (1) a delay in or lack of performance by or on behalf of the **named insured** of any contract or agreement; or
- (2) the failure of the **named insured's products** or **work** performed by or on behalf of the **named insured** to meet the level of performance, quality, fitness or durability warranted or represented by the **named insured**;
 BUT this exclusion DOES NOT APPLY to loss of use of other tangible property resulting from the sudden and accidental physical injury to or destruction of the **named insured's products** or **work** performed by or on behalf of the **named insured** after such products or **work** have been put to use by any person or organization other than an **insured**;

n) **property damage** to the **named insured's products** arising out of such **products** or any part of such products;

o) **property damage** to **work** performed by or on behalf of the **named insured** arising out of the **work** or any portion of the **work**, or out of materials, parts or equipment furnished in connection with the **work**;

p) **bodily injury** or **property damage** due to the rendering of or failure to render any **professional service**;

q) **property damage** included within:

- (1) the **explosion** definition;
- (2) the **collapse** definition;
- (3) the **underground property damage** definition;

r) **bodily injury** or **property damage**

- 1) resulting directly or indirectly from the transmission of a communicable disease by an **insured** or employees of an **insured**;
- 2) arising directly or indirectly out of instances, **occurrences** or allegations of sexual abuse or sexual harassment of any person by an **insured** or employees of an **insured**;
- 3) arising directly or indirectly out of instances, **occurrences** or allegations of criminal activity by an **insured** or by employees of an **insured**.

This exclusion shall be applicable whether the excluded claims are made directly or are made indirectly or derivatively as claims of negligence or breach of contract.

s) damages claimed for any loss, cost or expense incurred by **you** or others for the loss of use, withdrawal, recall, inspection, repair, replacement, adjustment, removal or disposal of:

- (1) **your product**;

(2) *your work*; or

(3) *impaired property*;

if such product, *work*, or property is withdrawn or recalled from the market or from use by any person or organization because of a known or suspected defect, deficiency, inadequacy or dangerous condition in it.

E. WHAT YOU MUST DO IN CASE OF LOSS

1. Notice.

- a) In case of an *occurrence* or if *you* become aware of anything that indicates there might be a claim under this policy, *you* must give *us* or *our* agent notice (in writing if requested) as soon as practicable;
 - b) The notice to *us* must state:
 - (1) *your* name, the kind of policy, policy number and the time, place and circumstances of the *occurrence*; and
 - (2) names and addresses of any potential claimants and witnesses.
2. **Cooperation-You** must cooperate with *us* in performing all acts required by this policy.
3. **Volunteer Payments-You** must not, except at *your* own cost, voluntarily make any payments, assume any obligations, or incur any other expenses except first aid to others at the time of *bodily injury*.
4. **Additional Duties Bodily Injury and Property Damage Coverages**-In the event of an *occurrence* which might result in a claim for *bodily injury* or *property damage* liability under this policy, *you* must also do the following:
- a) promptly forward to *us* copies of all notices, demands, or legal papers received in connection with the *occurrence*;
 - b) at *our* request, assist in:
 - (1) making settlements;
 - (2) the conduct of *suits* including attending trials and hearings;
 - (3) enforcing any right of contribution or indemnification against any party who may be liable to any *insured* for the injury or damage;
 - (4) securing and giving evidence; and
 - (5) obtaining the attendance of witnesses.

F. HOW MUCH WE PAY FOR LOSS OR CLAIM

For the purpose of determining *our* limit of liability, all *bodily injury* and *property damage* arising out of continuous or repeated exposure to substantially the same general condition(s) shall be considered as arising out of one *occurrence*.

1. The limit of liability stated on the Declarations page, the Supplemental Declarations page or attached endorsements and the conditions set forth below fix the maximum amounts *we* will pay for loss regardless of the number of:
 - a) persons insured STONEPATH SERVICE
 - b) persons or organizations who sustain *bodily injury* or *property damage*; or
 - c) claims made or *suits* brought.
2. The Each *Occurrence* limit, subject to the Aggregate of liability, is the most *we* pay for the total of damages under Coverages L for all *bodily injury* and *property damage* arising out of a single *occurrence*.
3. The *Products/Completed Operations* each *occurrence* limit, subject to the *Products/Completed Operations* Aggregate limit of liability, is the most *we* will pay for the total of damages under Coverage N due to all *bodily injury* and *property damage* arising out of a single *occurrence*.
4. The policy period shown on the Declarations page, the Supplemental Declarations page or other endorsements added to this policy may be for a period of one year or longer. HOWEVER, for the purpose of determining any or all aggregate limits of liability described in this section, or in endorsements attached to this policy, policy period means a one year period beginning with the inception date of the policy (and for each subsequent one year period if applicable).

EXAMPLE:

- a) Policy Period as shown on the Declarations page or other endorsements. from January 15, 1987
to January 15, 1990
 - b) Initial Policy Period for determining aggregate limits. from January 15, 1987
to January 15, 1988
 - c) Subsequent Policy Period(s) for determining aggregate limits. to January 15, 1989
AND
from January 15, 1989
to January 15, 1990
5. The Aggregate limit of liability is the most *we* will pay during a policy period for the sum of all damages under *Coverage L-Bodily Injury and Property Damage*.

6. The ***Products/Completed Operations*** Aggregate limit of liability shown for **Coverage N-Products/Completed Operations** is the most ***we*** will pay during a policy period under Coverage N for damages due to injury or damage included under the ***Products/Completed Operations***.
7. The Aggregate limit of liability and the ***Products/Completed Operations*** Aggregate limit of liability apply separately to each consecutive 12 month period beginning with the inception date of the General Liability Coverage shown on the Declarations page, the Supplemental Declarations page or attached endorsements. They also apply separately to any remaining policy period of less than 12-months, unless the General Liability Coverage has been extended after it was written. In that case, the additional period will be considered part of the last preceding period for the purpose of determining limits.
8. If Premises Medical Payments, Fire Legal Liability or other coverages are added to this policy by endorsement, then the limits of liability and the conditions pertaining to **HOW MUCH WE PAY FOR LOSS OR CLAIM** under these coverages will be set forth in those endorsements, on the Declarations page or Supplemental Declarations page.
9. ***Insurance Under More Than one Policy.***
 - a) Insurance under this General Liability Coverage is primary except as provided under paragraph 9c. below, or unless otherwise stated. The amount of ***our*** liability is not reduced because of other insurance which applies to the loss on other than a primary basis.
 - b) If the other insurance is also primary, ***we*** will share in the loss as follows:
 - (1) If the other insurance provides for contribution by equal shares, ***we*** will pay equal amounts with other insurers until:
 - (a) the lowest applicable limit under any one policy is reached; or
 - (b) the full amount of the loss is paid. If part of the loss remains unpaid, ***we*** will pay an equal share with the other insurers until the full amount of the loss is paid, or until ***we*** have paid ***our*** limit in full.
 - (2) If the other insurance does not provide for contribution by equal shares, ***we*** will pay no more than that proportion of the loss to which the applicable limit under this policy for such loss bears to the total applicable limit for all insurance against the loss.
 - c) Insurance under this General Liability Coverage is excess over any other insurance:
 - (1) if the other insurance, whether primary, excess, contingent or on any basis, provides:
 - (a) fire, extended coverage, builders' risk, installation risk or similar coverage for ***your work***; or
 - (b) fire insurance for the premises rented to ***you***; or
 - (2) if the other insurance applies to any loss arising out of the maintenance or use of aircraft, ***autos***, or watercraft which may be covered by this policy.
 - d) When this insurance is excess over any other insurance:
 - (1) ***we*** will have no duty under Coverage L to defend any claim or ***suit*** that any other insurer has a duty to defend. If no other insurer defends, ***we*** will do so. However, ***we*** will be entitled to the ***insured's*** rights against all those other insurers.
 - (2) ***we*** will pay ***our*** share of the amount of loss, if any, that exceeds the sum of:
 - (a) the total amount that all such other insurance would pay for the loss in the absence of this insurance; and
 - (b) the total of all deductibles and self-insured amounts required by such other insurance.

We will share the remaining loss with any other insurance that is not described in this excess insurance provision and was not bought specifically to apply in excess of the limits of insurance shown on the Declarations page, the Supplemental Declarations page or attached endorsements of this liability coverage.

G. PAYMENT OF LOSS OR CLAIM

Any person who has secured a judgement against an ***insured*** for a covered loss or has liability established by a written agreement between the claimant, an ***insured*** and ***us***, is entitled to recover under this policy to the extent of the coverage provided.

I. POLICY CONDITIONS

In addition to the policy ***terms*** which are contained in other sections of this policy, the following conditions also apply:

1. ***Assignment***-Assignment of this policy is not valid without ***our*** written consent.
2. ***Cancellation.***
 - a) ***By You***-You may cancel this policy at any time by giving ***us*** written notice or returning the policy to ***us*** and stating when thereafter the ***cancellation*** is to be effective.

- b) **By Us-We** may cancel this policy by written notice delivered to or mailed to **you** at the address shown in the policy (and to **your** authorized agent or broker if required). Proof of delivery or mailing is sufficient proof of notice.

This notice must be delivered or mailed the required number of days prior to the effective date of the **cancellation**. For a description of the number of days of required notice, refer to: (1) **Nonpayment of premium**, (2) **New Policy** or (3) **All Other Situations**.

- c) **When We May Cancel-We** may cancel this policy under the following conditions:

- (1) **Nonpayment of Premium**-If the premium has not been paid when-due, **we** may cancel at any time by delivering or mailing to **you** the required notice at least fifteen days before **cancellation** is effective. Payment by **you** to the insurer, or to an agent or broker authorized to receive such payment, shall be considered timely if made within fifteen days after the mailing to **you** of a notice of cancellation for **nonpayment of premium**.
- (2) **New Policy**-If this is a new policy which has been in effect less than sixty days, **we** may cancel for any reason by delivering or mailing the required notice to the **first named insured** at the mailing address shown in the policy at least twenty days before **cancellation** is effective. If upon review during this time period, **we** find that a statutory provision/provisions for **cancellation** applies/apply, **we** may cancel this policy by mailing written notice to the **first named insured** at the mailing address shown in the policy at least fifteen days before **cancellation** is effective.
- (3) **All Other Situations**-After a **covered policy** has been in effect for sixty days, or upon the effective date if such policy is a **renewal**, no notice of **cancellation** shall become effective until fifteen days after notice is delivered or mailed to the **insured** and such **cancellation** is based on one or more of the following statutory provisions:
 - (A) **Nonpayment of premium**;
 - (B) Conviction of a crime arising out of acts increasing the hazard insured against;
 - (C) Discovery of fraud or material misrepresentation in the obtaining of the policy or in the presentation of a claim thereunder;
 - (D) After issuance of the policy or after the last **renewal** date, discovery of an act or omission, or a violation of any policy condition, that substantially and materially increases the hazard insured against and which occurred subsequent to inception of the current policy period;
 - (E) Material physical change in the property insured, occurring after issuance or last annual **renewal** anniversary date of the policy, which results in the property becoming uninsurable in accordance with the insurer's objective, uniformly applied underwriting standards in effect at the time the policy was issued or last **renewed**; or material change in the nature or extent of the risk, occurring after issuance or last annual **renewal** anniversary date of the policy, which causes the risk of loss to be substantially and materially increased beyond that contemplated at the time the policy was issued or last **renewed**;
 - (F) Required pursuant to a determination by the superintendent that continuation of the present premium volume of the insurer would jeopardize that insurer's solvency or be hazardous to the interests of policyholders of the insurer, its creditors or the public;
 - (G) A determination by the superintendent that the continuation of the policy would violate or would place the insurer in violation of the law;
 - (H) Where the insurer has reason to believe, in good faith and with sufficient cause, that there is a probable risk or danger that the **insured** will destroy, or permit to be destroyed, the insured property for the purpose of collecting the insurance proceeds, provided, however, that:
 - (i) a notice of cancellation on this ground shall inform the **insured** in plain language that the **insured** must act within ten days if review by the Insurance Department of the ground for **cancellation** is desired pursuant to item (iii) of this subparagraph (H); and
 - (ii) notice of cancellation on this ground shall be provided simultaneously by the insurer to the Insurance Department; and
 - (iii) upon written request of the **insured** made to the department within ten days from the **insured's** receipt of notice of cancellation on this ground, the Insurance Department shall undertake a review of the ground for **cancellation** to determine whether or not the insurer has satisfied the criteria for **cancellation** specified in this subparagraph; if after such review the department finds no sufficient cause for **cancellation** on this ground, the notice of cancellation on this ground shall be deemed null and void.
 - (I) With respect to professional liability insurance policies, revocation or suspension of the **insured's** license to practice his/her profession or, if the **insured** is a hospital, it no longer possesses a valid operating certificate under section twenty-eight hundred one-a of the public health law.

- d) *We* refund the premium for the unexpired policy period on a pro rata basis.
- e) **Refund of Premium**-Payment or tender of unearned premium is not a condition of **cancellation**. If the unearned premium is not refunded with the cancellation notice, it will be sent to **you** within a reasonable time.
- f) **Loss Notice**-The company must advise the **first named insured** that he/she is entitled to loss information upon written request.

3. **Renewal/Nonrenewal.**

- 3a) **Nonrenewal**-*We* may elect not **to renew** or continue this policy by delivering or mailing to **you** and **your** authorized agent or broker written notice of **our** intent not **to renew**.

- a) Such notice must:

- (1) be given at least sixty but not more than one hundred twenty days in advance of the end of the **required policy period**.
 - (2) state **our** specific reason(s) for **nonrenewal**.
 - (3) be delivered or mailed to **you** at the address shown in the policy and to **your** authorized agent or broker. Proof of delivery or mailing is sufficient proof of notice.
 - (4) Loss Notice-The company must advise the **first named insured** that he/she is entitled to loss information upon written request.
 - (5) Requirements for **nonrenewal** shall not apply if the **named insured**, or agent or broker authorized by the **named insured**, or another insurer of the **named insured** has delivered or mailed written notice that the policy has been replaced or is no longer desired.
- b) Prior to the expiration date of this policy, in the event that a late **nonrenewal** notice is provided by the insurer, the coverage under this policy shall remain in effect:
 - (1) at the same **terms** and conditions contained in the expiring policy; and
 - (2) at the lower of the current rates or the prior period's rates until sixty days after the notice is delivered or mailed unless the **insured** elects to cancel sooner.
 - c) In the event that a timely and substantially complete notice is not provided by the insurer prior to the expiration date of the policy, coverage shall remain in effect:
 - (1) on the same **terms** and conditions of the expiring policy;
 - (2) for another **required policy period**; and
 - (3) at the lower of the current rates or the prior period's rates.

However, if the insurer has established the standards and procedures required by the law relating to notice requirements and the failure to comply with these standards and procedures is a result of inadvertence or clerical mistake, then the rates applicable to the remainder of the additional **required policy period** shall be the insurer's current rates at the **terms** and conditions of the expiring policy.

- d) The issuance of a late or incomplete **nonrenewal** notice by the insurer shall not create a new annual aggregate liability limit (if any) for the **covered policy** except that the annual aggregate limit of the expiring policy shall be increased in proportion to the policy extension, including any additional **required policy period**, caused by the late or incomplete notice of **nonrenewal**.
 - e) If the insurer provides a timely notice of **nonrenewal** and thereafter the insurer extends the policy for ninety days or less, an additional notice of **nonrenewal** is not required with respect to the extension period.
- 3b) **Conditional renewal**-*We* may elect **to renew** or continue this policy under certain conditions. *We* may do so by delivering or mailing to **you** or **your** authorized agent or broker written notice.
 - a) This notice must:
 - (1) be delivered or mailed to **you** at least sixty but not more than one hundred twenty days in advance of the end of the **required policy period**;
 - (2) contain specific reason(s) for the conditional **renewal**;
 - (3) set forth the amount of any premium change if the increase is in excess of 10% unless the increase is due to increased insured values and/or increased coverages or is due to experience rating, retrospective rating or audit;
 - (4) set forth the nature of any proposed change(s) in the policy such as change(s) in limits, change(s) in type(s) of coverage(s), reduction(s) in coverage(s), increased deductible or the addition of an exclusion or exclusions;
 - (5) be delivered or mailed to the **named insured** at the address listed in the policy and to an authorized agent or broker of the **insured**. Proof of delivery or mailing is sufficient proof of notice; and
 - (6) include a statement advising the **first named insured** that upon written request the company will provide loss information.

- b) Prior to the expiration date of the policy, in the event that an incomplete or late conditional **renewal** notice is provided by the insurer, the coverage under this policy shall remain in effect at:
- (1) the same **terms** and conditions of the expiring policy; and
 - (2) the lower of the current rates or the prior period's rates;
- until sixty days after the notice is delivered or mailed unless the **insured** elects to cancel sooner.

However, if the **insured** elects to accept the **terms**, conditions and rates of the conditional **renewal** notice and **renews** the policy on that basis, then such **terms**, conditions and rates shall govern the policy upon expiration of such sixty-day period.

- c) In the event that a timely and substantially complete conditional **renewal** notice is not provided by the insurer prior to the expiration date of the policy, then coverage under the policy:
- (1) remains in effect for an additional **required policy period**;
 - (2) remains at the same **terms** and conditions as the expiring policy; and
 - (3) the rates for the additional **policy period** will be the lower of the current rates or the previous period's rates.

However, if the insurer has established the standards and procedures required by law relating to notice requirements, and the failure to comply with these standards and procedures is a result of inadvertence or clerical mistake, then the rates applicable to the remainder of the additional **required policy period** shall be the **insured's** current rates at the **terms** and conditions of the expiring policy.

- d) The issuance of a late or incomplete conditional **renewal** notice by the insurer shall not create a new annual aggregate limit (if any) for the **covered policy**, except that the annual aggregate limit of the expiring policy shall be increased in proportion to the policy extensions including any additional **required policy period**, caused by the late or incomplete conditional **renewal** notice.

However, if the **insured** accepts the **terms** of a conditional **renewal** offer, a new annual aggregate shall become effective as of the inception date of the **renewal**.

- 3c) **Alternate Renewal Notice Procedure**-During the period of time the insurer is assessing its option(s) as to whether to nonrenew or conditionally renew a policy, the insurer must notify the **insured** and his/her authorized agent or broker.

This notice must contain the following:

- (1) The notice must be delivered or mailed at least sixty days prior to the expiration date of the policy;
- (2) The notice must be delivered or mailed to the **named insured** at the address in the policy and to an authorized agent or broker of the **insured**;
- (3) The notice must advise the **insured** that the policy will be either nonrenewed or renewed at different **terms**, conditions or rates;
- (4) The notice must advise the **insured** that a **SECOND NOTICE** will be sent at a later date;
- (5) The notice must advise the **insured** that coverage will continue at the same **terms**, conditions and rates until the later of:
 - (a) the expiration date, or
 - (b) 60 days after the **SECOND NOTICE** is delivered or mailed.
- (6) The **SECOND NOTICE** sent to the **insured** must advise the **insured**:
 - (a) of the specific reason or reasons for nonrenewal or conditional renewal, and
 - (b) of the amount of any premium increase if the increase is in excess of 10% and the nature of any other proposed changes.
- (7) The **SECOND NOTICE** must advise the **first named insured** that he/she is entitled to loss information upon written request.
- (8) If a substantially complete **SECOND NOTICE** is not delivered or mailed until after the expiration date of the policy, the **insured** is entitled to coverage under the policy:
 - (a) for an additional required policy period;
 - (b) at the same terms and conditions as the existing policy; and
 - (c) at the lower of the current rates or the rates of the previous period.

However, if the insurer has established the standards and procedures required by law relating to notice requirements and the failure to comply with these standards and procedures is a result of inadvertence or clerical mistake, then the rates applicable to the remainder of the additional **required policy period** shall be the **insured's** current rates at the **terms** and conditions of the expiring policy.

- (9) No notice is necessary if the insurer receives a written notice from the **insured**, his/her authorized agent or broker, or another insurer that the policy is no longer desired or has been replaced.

- 3d) **Policies Written For A Term Of Less Than One Year**-For policies issued to an **insured** for a seasonal purpose or to a policy issued to cover a particular project that will be performed in less than one year, the following provisions apply:

- a) During the first sixty days such policy is in effect, no **cancellation** shall become effective until twenty days after written notice is delivered or mailed to the **insured** at the mailing address shown in the policy;
- b) After a policy has been in effect for sixty days, no notice of **cancellation** shall become effective until fifteen days after notice is delivered or mailed and such **cancellation** is based on one or more of the statutory provisions set forth in this form;
- c) After a policy has been in effect for sixty days, no premium increase for the term of the policy shall be made to become effective unless due to and commensurate with insured value added, subsequent to issuance pursuant to the policy or at the **insured's** request.
4. **Change, Modification, or Waiver of Policy Terms**-A waiver or change of any **terms** of this policy must be issued by **us** in writing to be valid.
5. **Conformity with Statute-Terms** of this policy, in conflict with the statutes of the state where the premises described in the Declarations are located, are amended to conform to such statutes.
6. **Misrepresentation, Concealment or Fraud**-This entire policy is void if, whether before or after a loss;
 - a) an **insured** has willfully concealed or misrepresented:
 - (1) any material fact or circumstance concerning this insurance; or
 - (2) an **insured's** interest;
 - b) There has been fraud or false swearing by an **insured** regarding any matter relating to this insurance or the subject.
7. **Inspection and Audit**-We are permitted but not obligated to inspect **your** property and operations. **Our** inspection or any resulting advice or report does not warrant that **your** property or operations are safe or healthful or are in compliance with any law, rule or regulation.
We may examine and audit the **named insured's** books and records at any time during the policy period and extensions of the policy period and within three years after the final termination of this policy, as far as they relate to the subject matter of this insurance.
8. **Subrogation.**
 - a) If **we** make a payment under this policy, **we** may require that the **insured** assign to **us** his or her right of recovery against any person for the loss to the extent of the payment. The **insured** must do everything necessary to make this assignment and secure **our** rights.
 - b) **We** are not liable for any loss if an **insured** does anything after the loss occurs to impair **our** right to recover. **You** may waive **your** right of recovery in writing before a loss occurs without voiding the coverage.
 - c) If **we** pay a loss to or on behalf of an **insured** and the **insured** recovers damages from another person for the same loss, the **insured** shall hold the amount recovered in trust for **us** and shall reimburse **us**.
9. **Suit Against Us**-No **suit** may be brought against **us** to recover amounts due for **bodily injury** or **property damage** liability unless:
 - a) the **terms** of this policy have been fully complied with; and
 - b) The amount of any **insured's** liability has been conclusively fixed:
 - (1) by a final judgement against the **insured** following trial; or
 - (2) by written agreement of the **insured**, the claimant and **us**.

No person shall have any right under this policy to join or implead **us** in any action brought to determine an **insured**^{GRANITE ROW}
10. **Bankruptcy of an Insured**-Bankruptcy or insolvency of any **insured** or his estate does not relieve **us** of any of **our** obligations under this policy.
11. **Policy Period**-This policy applies only to **bodily injury** or **property damage** which occurs during the policy period.
12. **Liberalization Clause**-If **we** change any form attached to **your** policy, **you** will benefit by any coverage that is broadened or extended. There must not be any increased premium charge for this change in endorsement. This change must occur during the period that this policy is in force or within 45 days prior to the effective date of coverage.
13. **Premium**-All premiums for this insurance shall be computed in accordance with **our** rules, rates, rating plans, premiums and minimum premiums applicable to the insurance.
 Premium designated in this policy as "provisional premium" is a deposit premium only which shall be credited to the amount of the earned premium due at the end of the policy period. At the close of each annual period (or part of the period terminating with the end of the policy period), the earned premium shall be computed for such period and, upon notice to the **named insured**, shall become due and payable. If the total earned premium for the policy period is less than the premium previously paid, **we** shall return to the **named insured** the unearned portion paid by the **named insured**.

The **named insured** shall maintain records of such information as is necessary for premium computation and shall send copies of such records to **us** at the end of the policy period and at such times during the policy period as **we** may direct.

14. **Financial Responsibility Laws**-When this policy is certified as proof of financial responsibility for the future under the provisions of any motor vehicle financial responsibility law, such insurance as is afforded by this policy for **bodily injury** liability or for **property damage** liability shall comply with the provisions of such law to the extent of the coverage and limits of liability required by such law. The **insured** agrees to reimburse **us** for any payment made by **us** which it would not have been obligated to make under the **terms** of this policy except for the agreement contained in this paragraph.

NUCLEAR EXCLUSION:

1. This policy does not apply:
 - a) Under any Liability Coverage, to **bodily injury** or **property damage**:
 - (1) with respect to which an **insured** under this policy is also an **insured** under a nuclear energy liability policy issued by The Nuclear Energy Liability Insurance Association, The Mutual Atomic Energy Liability Underwriters or Nuclear Insurance Association of Canada or any of their successors, or would be an **insured** under any such policy but for its termination upon exhaustion of its limit of liability; or
 - (2) resulting from the **hazardous properties** of **nuclear material** and with respect to which (a) any person or organization is required to maintain financial protection pursuant to the Atomic Energy Act of 1954, or any amending law, or (b) the **insured** is, or had this policy not been issued would be, entitled to indemnity from the United States of America, or any U.S. agency, under any agreement entered into by the United States of America, or any U.S. agency, with any person or organization.
 - (b) Under any Medical Payments Coverage, or under any Supplementary Payments provision relating to first aid, to expenses incurred with respect to **bodily injury** resulting from the **hazardous properties** of **nuclear material** and arising out of the operation of a **nuclear facility** by any person or organization.
 - (c) Under any Liability Coverage, to **bodily injury** or **property damage** resulting from the **hazardous properties** of **nuclear material**, if:
 - (1) the **nuclear material** (a) is at any **nuclear facility** owned by, or operated by or on behalf of an **insured**, or (b) has been discharged or dispersed;
 - (2) the **nuclear material** is contained in **spent fuel** or **waste** at any time possessed, handled, used, processed, stored, transported or disposed of by or on behalf of an **insured**; or
 - (3) the **bodily injury** or **property damage** arises out of the furnishing by an **insured** of services, materials, parts or equipment in connection with the planning, construction, maintenance, operation or use of any **nuclear facility** but if such facility is located within the United States of America, its territories or possessions, or Canada, this exclusion (3) applies only to **property damage** to such **nuclear facility** and any property thereat.
2. Definitions Applicable to the Nuclear Energy Liability Exclusion
 - a) **Hazardous Properties**-include radioactive, toxic or explosive properties.
 - b) **Nuclear Material**-means **source material**, **special nuclear material**, or **by-product material**.
 - c) **Source Material**, **Special Nuclear Material**, and **By-product Material**-have the meanings given them in the Atomic Energy Act of 1954, or in any law amendatory thereof.
 - d) **Spent fuel**-this means any fuel element or fuel component, solid or liquid, which has been used or exposed to radiation in a **nuclear reactor**.
 - e) **Waste**-this means any **waste** material:
 - (1) containing **by-product material** other than the tailings or wastes produced by the extraction or concentration of uranium or thorium from any ore processed primarily for its **source material** content; and
 - (2) resulting from the operation by any person or organization of any **nuclear facility** included under the first two paragraphs of the definition of **nuclear facility**.
 - f) **Nuclear Facility**-means:
 - (1) any **nuclear reactor**;
 - (2) any equipment or device designed or used for:
 - (a) separating the isotopes of uranium or plutonium;
 - (b) processing or utilizing **spent fuel**; or
 - (c) handling, processing or packaging **waste**.
 - (3) any equipment or device used for the processing, fabricating or alloying of **special nuclear material** if at any time the total amount of such material in the custody of the **insured** at the premises where such equipment or device is located consists of or contains more than 25 grams of plutonium or uranium-233 or any combination thereof, or more than 250 grams of uranium-235.

- (4) any structure, basin, excavation, premises or place prepared or used for the storage or disposal of **waste**; and includes the site on which any of the foregoing is located, all operations conducted on such sites, and all premises used for such operations.
- g) **Nuclear Reactor**-this means any apparatus designed or used:
 - (1) to sustain nuclear fission in a self-supporting chain reaction; or
 - (2) to contain a critical mass of fissionable material.
- h) **Property Damage**-this includes all forms of radioactive contamination of property.



Operations EXCLUSION (For Use With Forms LS-5 and LS-6)

Refer to the Supplemental Declarations if information is not shown on this form.
The exclusion under this endorsement is subject to the *terms* contained in the General Liability Coverage.

WHAT WE DO NOT PAY FOR

The following exclusion is added to the EXCLUSIONS shown in the General Liability Coverage.

We do not pay for *bodily injury and property damage* arising out of the operation(s) described below.

Description of Operation(s) Excluded:



EXCLUSION OF CERTAIN ROOFING OPERATIONS

Refer to Supplemental Declarations if information is not shown on this form.

The exclusion under this endorsement is subject to the *terms* contained in the Liability coverage.

WHAT *WE* DO NOT PAY FOR

The following exclusion is added to the EXCLUSIONS shown in the Liability coverage:

Insurance provided by Coverage L and Coverage N does not apply to *bodily injury* and/or *property damage* or *products/completed operations* liability arising out of *your work* which involves the removal and/or replacement of roof materials.



NEW YORK AMENDATORY ENDORSEMENT

(Mandatory for use with forms LS-1, LS-3, LS-4, LS-5, LS-6 and LS-8.)

The coverage under this endorsement is subject to the **terms** contained in the General Policy Provisions.

1. This endorsement amends those policy provisions pertaining to Aggregate Limits of Liability found under policy Section F., titled **HOW MUCH WE PAY FOR LOSS OR CLAIM**.

Those agreements are extended to include an increase in the aggregate limit of liability in proportion to any policy extension whether required by the issuance of a late or incomplete conditional renewal notice, late non-renewal notice or other reason.

2. This endorsement amends those policy provisions pertaining to **INSPECTION AND AUDIT** found under policy Section I., titled **POLICY CONDITIONS**.

That agreement is extended to include the following:

Policies subject to audit.

- (a) An audit to determine final premium for policies under which the initial premium is based on an estimate of your exposure base shall be conducted within 180 days after expiration of such policy, and may not be waived except in the following circumstances:
 - (1) the total annual premium attributable to the auditable exposure base is not reasonably expected to exceed \$1,500;
 - (2) the policy requires notification to **us** with specific identification of any additional exposure units for which coverage is requested; or
 - (3) the policy is a commercial umbrella for which the rate or premium is determined by the application of a factor to the rate or premium of an auditable underlying policy.
 - (b) **We** shall, as soon as practicable following such audit, refund or credit **your** account for any return premium due **you**, or bill and make a good faith effort to collect any additional premium due **us**, as a result of the audit.
 - (c) If **you** fail to cooperate with **us** in **our** attempt to conduct such audit, including **your** failure to return any questionnaires or self-audit worksheets, **we** shall nonrenew **your** policy upon completion of the current policy period, in accordance with the provisions of section 3426 of the Insurance Law, due to **our** inability to establish a proper premium for **you**.
3. This endorsement amends that policy provision pertaining to **SUIT AGAINST US** found under policy Section I., titled **POLICY CONDITIONS**.

Item b) (1) is revised to read:

- (1) by a final judgment against the **insured** following trial or other means of adjudication; or

All other aspects of these policies remain unchanged.



EXCLUSION OF KNOWN LOSS OR DAMAGE

Refer to Supplemental Declarations if information is not shown on this form.

The exclusion under this endorsement is subject to the *terms* contained in the General Liability Coverage.

WHAT *WE* DO NOT PAY FOR:

We do not pay for any actual or alleged *bodily injury* or *property damage* caused by any *occurrence* of **known loss or damage** in progress prior to the inception of this policy.

We shall have no duty or obligation to defend any suit or action rising out of any *occurrence* of **known loss or damage** in progress prior to the inception of this policy.

ADDITIONAL DEFINITION:

Known loss or damage means the receipt of actual or constructive notice by *you*, or *your* authorized representative(s), of an *occurrence*, loss or claim in progress prior to the inception of this policy.

Known loss or damage shall have occurred at the earliest of:

1. the receipt of any notice of any actual or alleged claim of *bodily injury* or *property damage*;
2. the receipt of any demand, suit or process alleging *bodily injury* or *property damage*; or
3. the knowledge, acquired by any other means, of actual or alleged *bodily injury* or *property damage*.



DISCRIMINATION CLARIFICATION

Refer to Supplemental Declarations if information is not shown on this form.

The restatement under this endorsement is subject to the *terms* contained in the General Liability Coverage.

WHAT *WE* DO NOT PAY FOR

The following clarification is added to the General Liability Coverage.

We do not pay for *bodily injury* or *personal injury* or costs from the actual or alleged discrimination of any person(s) based on age, color, creed, ethnic background, gender, physical or mental handicap or infirmity, race, religious preference, sexual orientation or other similar discrimination.



EMPLOYMENT PRACTICES EXCLUSION

Refer to Supplemental Declarations if information is not shown on this form.

The exclusion under this endorsement is subject to the *terms* contained in the General Liability Coverage.

WHAT *WE* DO NOT PAY FOR

The following exclusion is added to the **EXCLUSIONS** shown in the General Liability Coverage.

We do not pay for ***bodily injury*** or ***personal injury*** liability or costs arising out of the actual, alleged or threatened:

1. refusal to employ;
2. termination of employment; and
3. acts of bias in the workplace including, but not limited to, coercion, defamation, demotion, discipline, harassment, humiliation, intimidation, invasion of contract or pension rights, forced transfer and/or reassignment or reprisal.

This exclusion applies to ***your*** acts or omissions in any employment related capacity.

This insurance does not apply to any obligation to indemnify or contribute with another because of such injury or costs.



EXCLUSION OF WORK PERFORMED FROM SCAFFOLDING

Refer to Supplemental Declarations if information is not shown on this form.

The exclusion under this endorsement is subject to the *terms* contained in the Liability coverage.

WHAT *WE* DO NOT PAY FOR

The following exclusion is added to the EXCLUSIONS shown in the Liability coverage:

We do not pay for *bodily injury* and/or *property damage* arising out of *your* operation(s) which involves *your* performance of *your work* from a **scaffold** or **scaffolding**.

SPECIAL CONDITIONS

The DEFINITIONS section of *your* policy is amended to include the following definition:

Scaffold or **scaffolding** means temporary or moveable platform(s) for worker(s) to stand or sit on when working at a height above the ground or floor.

All other *terms* and conditions remain unchanged.



EXCLUSION OF HOT APPLICATION ROOFING OPERATIONS

Refer to Supplemental Declarations if information is not shown on this form
The exclusion under this endorsement is subject to the ***terms*** contained in the Liability coverage.

WHAT ***WE*** DO NOT PAY FOR

The following exclusion is added to the EXCLUSIONS shown in the Liability coverage:

Insurance provided by Coverage L and Coverage N does not apply to ***bodily injury*** and/or ***property damage*** and products/completed operations liability arising out of ***your work*** which involves the installation, removal and /or replacement of heated bituminous or elastomeric membrane roofing applications.



SILICA EXCLUSION

Refer to Supplemental Declarations if information is not shown on this form.

The amended coverage provided under this endorsement is subject to the **terms** contained in the General Policy Provisions and the Liability Coverage.

Policy No. _____.

Named Insured _____.

WHAT ***WE*** DO NOT PAY FOR

The following exclusion is added to the EXCLUSIONS shown in the Liability Coverage:

We do not pay for ***bodily injury***, ***property damage*** or where applicable, ***personal injury*** or ***advertising injury***, arising from the actual, alleged, or threatened exposure to or ingestion, inhalation, absorption or presence of ***silica*** in any form or to any harmful substance related to ***silica***. This exclusion applies to any ***occurrence***, notice, claim or suit arising out of or resulting from the deleterious health effects associated with:

1. the existence of ***silica***;
2. the handling or storage or transportation of ***silica***;
3. the disposal of ***silica***;
4. structures, products, property or manufacturing processes containing ***silica***;
5. any obligation to share in damages or repay another party or entity who must pay damages due to injury or damage resulting from ***silica***;
6. any warranties, whether they are express or implied;
7. any supervision, instructions, recommendations, warnings or advice given or which should have been given; and/or
8. any necessary recall of products.

We do not pay for cost or expense arising out of or resulting from the deleterious health effects associated with ***silica*** for any denial of access to property from any ***silica*** or cost or expense arising from the abating, testing for, monitoring, cleaning up, removing, containing, treating, detoxifying, neutralizing, remediating or disposing of, or in any manner responding to, or assessing the effects of ***silica*** sustained by an ***insured*** or another person or entity .

ADDITIONAL DEFINITION

The following definition is added to the **DEFINITIONS** Section:

Silica means the mineral, silicon dioxide, including ***silica*** particles, ***silica*** dust, or ***silica*** in any form or any substance containing ***silica*** either alone or when combined with other substances.

All other **terms** and conditions remain unchanged.



EXTERIOR INSULATION EXCLUSION

Refer to Supplemental Declarations if information is not shown on this form.

The amended coverage provided under this endorsement is subject to the **terms** contained in the General Policy Provisions and the Liability Coverage.

Policy No. _____.

Named Insured _____.

WHAT WE DO NOT PAY FOR

The following exclusion is added to the EXCLUSIONS shown in this policy:

We do not pay for **bodily injury, property damage** or where applicable, **personal injury** or **advertising injury**, arising from the design, manufacture, sale, service, construction, fabrication, preparation, installation, application, maintenance, or repair, including remodeling, correction, replacement or maintenance of **exterior insulation or finish system** or any similar system or part thereof, including any methodology to correct any problem with such an installed system by or for an **insured**. **We** also do not pay for:

1. **bodily injury, property damage** or where applicable, **personal injury** or **advertising injury**, arising from **your work** or **your** product that results directly or indirectly from **exterior insulation or finish system** or any similar system or part thereof;
2. **bodily injury, property damage** or where applicable, **personal injury** or **advertising injury**, arising from the **products completed operations hazard** that results directly or indirectly from **exterior insulation or finish system** or any similar system or part thereof; and/or
3. **bodily injury, property damage** or where applicable, **personal injury** or **advertising injury**, arising from contractual liability assumed by an **insured** that results directly or indirectly from **exterior insulation or finish system** or any similar system or part thereof.

ADDITIONAL DEFINITION

The following definition is added to the **DEFINITIONS** Section:

Exterior Insulation or Finish System means exterior wall cladding panels or finish system used as a part of a structure constructed of rigid or semi-rigid insulation board from a variety of materials including polystyrene, an adhesive or mechanical attachment of the insulation to substrate, any reinforced base coat, any protective finish and any conditioner, primer, accessory, caulking, sealant, flashing or associated coating intended to act upon the system and form a bond to create an energy efficient wall.

All other **terms** and conditions remain unchanged.



COMMUNICABLE DISEASE EXCLUSION CLARIFICATION

For Use with 1/88, 3/93 and 9/02 General Liability Coverage Forms

This endorsement is subject to the **terms** contained in **your** policy.

WHAT WE DO NOT PAY FOR

In the Exclusions section of the General Liability Coverage form, the communicable disease exclusion is deleted and replaced with the following.

1. **We** do not pay for ***bodily injury, property damage***, and when applicable to **your** policy, ***personal injury*** and/or ***advertising injury***, arising directly or indirectly from the actual or alleged transmission of a communicable disease. This exclusion applies even if any of the claims against any ***insured*** allege negligence or misconduct in:
 - a. examining, testing or monitoring for a communicable disease;
 - b. neglecting to report a communicable disease to appropriate authorities;
 - c. neglecting to prevent the spread of a communicable disease or failing to perform services that were intended to prevent the spread of a communicable disease; or
 - d. supervision, hiring, employment, training or monitoring of anyone who may be infected with and spreads a communicable disease.

However, this exclusion does not apply to the transmission of a communicable disease by an ***insured*** if the ***insured*** is a health care provider and/or an individual who comes into physical contact with the public on an

GRANITE ROW

All other **terms** and conditions remain unchanged.



EMPLOYER'S LIABILITY EXCLUSION
Third Party Action Over
For Use with 1/88 and 3/93 General Liability Coverage Forms

This endorsement is subject to the *terms* contained in *your* policy.

WHAT WE DO NOT PAY FOR

In the General Liability Coverage form, exclusion k) in the LS-1, LS-3, LS-4, LS-5 and LS-6 or exclusion i) in the LS-8 is deleted and replaced with the following exclusion.

We do not pay for ***bodily injury*** to:

- (1) any ***employee*** of an ***insured*** arising out of and in the course of their employment by an ***insured***;
- (2) any ***employee*** of an ***insured*** arising out of and in the course of performing duties related to the conduct of the ***insured***^{MERIDIAN}
- (3) any contractor or subcontractor of an ***insured***, or ***employee*** of any contractor or subcontractor of an ***insured***, if such ***bodily injury*** is sustained arising out of and in the course of rendering or performing services of any kind for or on behalf of an ***insured***; or
- (4) a spouse, child, parent, or sibling of such ***employee***, contractor, subcontractor or ***employee*** of any contractor or subcontractor as a consequence of (1), (2) or (3) above.

This exclusion applies:

- (a) to all claims and ***suits*** by any person or organization for damages whether an ***insured*** may be liable as an employer or in any other capacity because of ***bodily injury***, including damages for care and loss of services, and to any obligation of an ***insured*** to indemnify or contribute with another because of damages arising out of such injury; and
- (b) to liability assumed by an ***insured*** under an ***insured contract*** or ***incidental contract***, whichever is applicable to *your* policy.

All other *terms* and conditions remain unchanged.



POLICYHOLDER DISCLOSURE NOTICE
LS-141A Employer's Liability Exclusion Third Party Action Over
FOR USE WITH NEW AND RENEWAL BUSINESS

Please review this important notice and retain it with your insurance policy.

This disclosure notice is not a contract of insurance. It is intended to provide information on form LS-141A Employer's Liability Exclusion Third Party Action Over. It is recommended that you review your policy carefully to determine your rights, duties and obligations. This information is intended to assist you in the review of your policy. If there are any conflicts between this disclosure notice and your policy, the provisions of the policy shall prevail.

By the addition of this policy form, your General Liability Coverage policy is amended to exclude coverage for:

1. Bodily injury to any employee of an insured arising out of and in the course of performing duties related to the conduct of the insured's business.
2. Bodily injury to any contractor or subcontractor of an insured, or employee of any contractor or subcontractor of an insured, if such bodily injury is sustained arising out of and in the course of rendering or performing services of any kind for or on behalf of an insured. This includes consequential bodily injury to a spouse, child, parent, or sibling of such contractor, subcontractor or employee of any contractor or subcontractor.
3. Liability assumed by an insured under an insured contract or incidental contract, whichever is applicable to your policy, if such liability is excluded in form LS-141A Employer's Liability Exclusion Third Party Action Over.



ASBESTOS EXCLUSION

The exclusion under this endorsement is subject to the *terms* contained in the Liability Coverage.

WHAT *WE* DO NOT PAY FOR

The following exclusion is added to the **EXCLUSIONS** shown in the Liability Coverage.

We do not pay for ***bodily injury*** or ***property damage*** arising out of:

1. the actual, alleged or threatened inhaling, ingesting, absorption of, or prolonged exposure to asbestos, asbestos products, asbestos fibers, asbestos dust or goods or products that contain asbestos;
2. the actual, alleged or threatened contact with, existences of, exposure to, or presence of asbestos, asbestos products, asbestos fibers, asbestos dust or goods or products that contain asbestos;
3. the construction and manufacturing of any good, product, or structure containing asbestos; or
4. the manufacturing, transportation, storage or disposing of asbestos or goods or products that contain asbestos.

There is no coverage under this policy arising from asbestos liability, including but not limited to, liability for loss, damage, costs or expenses arising out of, resulting from, caused by, or contributed to by asbestos, exposure to asbestos, use of asbestos, or responding to asbestos.

There is no coverage under this policy for any loss, cost or expense arising out of the testing, monitoring, clean up, removal, containment, treatment, detoxification, neutralization or responding to or assessing the effects of asbestos, asbestos products, asbestos fibers, asbestos dust or to goods or products that contain asbestos by an ***insured*** or any other person or entity.

We do not pay for any investigation or defense of any loss, damage or any cost, loss of use expense, fine or penalty or for any expense or claim or ***suit*** related to any of the above.



Intentional Acts Exclusion

Refer to Supplemental Declarations if information is not shown on this form.

The amended coverage provided under this endorsement is subject to the *terms* contained in the General Policy Provisions.

WHAT *WE* DO NOT PAY FOR

The following exclusion is added to the exclusions applicable to Coverages A and B as shown in form SF-20:

Intentional Acts-*we* do not pay for loss which results from an act committed by or at the direction of an *insured* and with the intent to cause a loss.



AGREEMENT

This policy, subject to all of its **terms**, provides insurance against loss to property, and other described coverages during the policy period, in return for payment of the required premium. It consists of this Agreement, the Declarations, Supplemental Declarations (if any), the General Policy Provisions, Causes of Loss Section and any forms or endorsements made part of it, including any required state endorsement(s).

Endorsements attached to this policy may require a premium charge for increased or additional coverage. In the event **you** select a higher deductible amount or where certain exclusionary or limiting endorsements are added to **your** policy, **you** may receive a reduction in premium.

It is important that **you** read each part of this policy carefully to understand the coverage provided and **your** obligations as well as **our** obligations under the policy. Each coverage is subject to all policy **terms** relating to that coverage including the **terms** applicable to the entire policy. Coverages A & B described in this policy apply only if a limit of insurance is shown for the coverage on the Declarations or are added by endorsement.

The following Table of Contents shows how the policy is organized and will help **you** locate particular sections of the policy.

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GENERAL POLICY PROVISIONS

A. DEFINITIONS-The following definitions apply to this policy:

1. The words **you** and **your** refer to the person or entity named in the Declarations and the words **we**, **us** and **our** refer to the ^{Granite Row} named in the Declarations.
2. **Business** means a trade, profession or other occupation including farming, all whether full or part time.
3. **Covered Policy** means a policy of commercial risk insurance, professional liability insurance or public entity insurance.
4. **Insured** means the person or entity named in the Declarations.
 - a. **Insured** means **you** or **your** legal representative. However, this person, **your** legal representative, is an **insured** ^{CLEARWATER CONTRACTING}
 - b. Each person listed above is a separate **insured** under this policy, but this does not increase **our** limit of insurance under this policy.
5. **Insured Premises**
 - a. If **you** own the building described in the Declarations, the **insured premises** means the building and the grounds at that location described in the policy.
 - b. If, at the location described in the policy, **you** lease the entire building or a portion of the building, **insured premises** means the parts of the described premises which are used or occupied exclusively by **you**.
6. **Nonpayment of Premium** means the failure of the **named insured** to discharge any obligation in connection with the payment of premiums on a policy of insurance or any installment of such premium, whether the premium is payable directly to the insurer or its agent or indirectly under any premium finance plan or extension of credit. Payment to the insurer, or to an agent or broker authorized to receive such payment shall be timely if made within fifteen days after the mailing to the **insured** of a notice of cancellation for **nonpayment of premium**.
7. **Renewal or to Renew** means the issuance or offer to issue by an insurer of a policy superceding a policy previously issued and delivered by the same insurer, or another insurer within the same group or under common management, or the issuance or delivery of a certificate or notice extending the term of a policy beyond its policy period or term. However, any policy with a policy period or term of less than one year shall be considered as if written for a policy period or term of one year, and any policy with no fixed expiration date or with a policy period or term of more than one year shall be considered as if written for successive policy periods or terms of one year.
8. **Required Policy Period** means a period of one year from the date a **covered policy** is renewed or first issued.
9. **Stock** means merchandise held in storage or for sale, raw materials, and in-process or finished goods, including supplies used in their packing or shipping.
10. **Terms** as used in this policy means provisions, limitations, exclusions, definitions and conditions.

B. PRINCIPAL COVERAGES-COVERAGE A-BUILDINGS AND COVERAGE B-BUSINESS PROPERTY

We provide insurance for the following coverages indicated by a specific limit of insurance on the Declarations page.

Coverage A-Building

This policy covers the building on the **insured premises** described on the Declarations Page which includes:

1. completed additions and attached extensions;
2. fire extinguishing apparatus;
3. floor coverings;
4. permanent fixtures, machinery and equipment forming a part of or pertaining to the services of the building or its premises;
5. personal property of the **insured** as landlord used to maintain or service the building including refrigerating, ventilating, cooking, dishwashing and laundering equipment;
6. shades and outdoor furniture;
7. If not covered by other insurance:
 - a. additions under construction, alterations and repairs to the building or structure;
 - b. materials, equipment, supplies and temporary structures on or within 100 feet of the described premises used for making additions, alterations or repairs to the building or structure.Additions, alterations and repairs are included within the Coverage A limit of insurance and do not increase the Coverage A limit of insurance.
8. If **you** own the described building, Coverage A—Building also includes:
 - a. storm doors, sash and screens;
 - b. awnings, canopies or their supports;

Coverage A does not cover:

1. antennas (outdoor), satellite antennas, their lead-in wiring, accessories, masts and towers;
2. awnings, canopies or their supports if **you** do not own the building;
3. driveways, parking lots, sidewalks or paved surfaces;
4. fences that are not a permanent part of the building;
5. foundations which are below the under surface of the lowest floor or below ground level if there is no basement, retaining walls that are not a part of the building, cost of excavations, or grading and filling;
6. land, including land on which the property is located;
7. outdoor signs;
8. personal property in apartments or rooms furnished by the **insured** as landlord;
9. pools, piers, docks and wharfs;
10. property which is more specifically insured in whole or in part by any other insurance except for the excess of the amount due (whether **you** can collect it or not) from that other insurance;
11. trees, plants, shrubs and lawns;
12. underground pipes, flues and drains;
13. vehicles or self propelled vehicles designed for use on public roads, aircraft, or watercraft, including motors, equipment and accessories;
14. water, either underground or surface water;
15. windmills, wind pumps, crop silos or metal smokestacks.

Coverage B-Business Property

This policy covers **your Business** Property in the building described in the Declarations or in the open (or in a vehicle) within 100 feet of the described premises. This includes:

1. furniture and fixtures;
2. machinery and equipment not servicing the building;
3. **stock**;
4. **your** interest in the property of others to the extent of the labor, materials or services furnished or arranged by **you** on such property;
5. **your** use interest as tenant in improvements and betterments. Improvements and betterments are fixtures, alterations, installations or additions;
 - a. made a part of the building or structure **you** occupy but do not own; and
 - b. **you** acquired or made at **your** expense but cannot legally remove;
6. all other **business** property owned by **you** and used in **your business**.

Coverage B does not cover the following property

(Limited coverage of some of these types of property is included in the Incidental Coverages).

1. accounts, bills, currency or deeds;
2. aircraft, including equipment and accessories;
3. animals, unless held as **stock** within the described building(s);
4. antennas (outdoor), satellite antennas, their lead-in wiring, accessories, masts and towers;
5. **automobiles**;
6. awnings, canopies or their supports if **you** own the building;
7. bullion and manuscripts;
8. **business** property away from the **insured premises**;
9. contraband, or property in the course of illegal transportation or trade;
10. standing crops;
11. electronic devices, accessories or antennas that may be operated from the electrical system of a motorized vehicle, farm equipment or watercraft. This includes films, tapes, wires, discs, records or other media for use with such devices;
12. evidences of debt;
13. fences;
14. household or personal property;
15. loss due to **business** interruption or delay;
16. money, credit card receipts and securities;
17. outdoor signs;
18. pools, piers, docks and wharfs;
19. property of others;
20. recreational vehicles, including equipment and accessories;

21. the cost to research, replace or restore the information on valuable papers and records, including those which exist on electronic or magnetic media;
22. trees, plants, shrubs and lawns;
23. vehicles or self propelled vehicles designed for use on public roads;
24. watercraft, including motors, equipment and accessories.

C. INCIDENTAL COVERAGES

This policy also provides Incidental Coverages. These Incidental Coverages are subject to all of the **terms** of the applicable Principal Coverages, A or B. These Incidental Coverages do not increase the Limit of Insurance stated for the Principal Coverages.

1. **Removal.**

a. **Emergency Removal:**

(1) If **you** remove property covered by this policy from the **insured premises** to preserve it from damage from covered causes of loss, **we** pay for loss. Once removed, such property is covered against direct loss from covered causes of loss, not specifically excluded under this policy, for a period up to ten days. This coverage does not extend past the expiration date of the policy.

(2) **We** pay up to \$250 towing charge to move a covered mobile structure endangered by a covered cause of loss.

b. **Debris Removal-We** cover the cost of moving debris of the covered property caused by a covered cause of loss under this policy. This coverage does not include costs to:

- (1) extract pollutants from land or water; or
- (2) remove, restore or replace polluted land or water.

We will not pay any more under this debris removal coverage than 25 percent of the amount **we** pay for the direct loss or damage. **We** will not pay more for loss to property and debris removal combined than the limit of insurance for the property.

We will not pay any expenses unless they are reported to **us** within 180 days of the direct physical loss or damage to covered property.

2. **Repairs-We** cover the cost of repairs that are reasonable and necessary to protect covered property from further damage after damage resulting from a covered cause of loss. **We** will not pay more for loss to property and

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3. **Change of Location-**When **you** move to another location, the Coverage B limit of insurance applies pro rata at each location for 30 days from the date **you** begin to move but not extending past the expiration date of the policy. When **you** move, this Change of Location coverage applies in place of **your** coverage for property **While Away From The Insured premises.**

4. **While Away From the Insured Premises-**(This coverage applies only when an 80% or higher coinsurance provision is shown on the Declarations page).

You may apply up to 2% of the Coverage B limit of insurance, up to \$5,000 to **your business** property covered under this policy while temporarily at locations that **you** do not own, control, operate or lease.

This coverage applies only if loss or damage is caused by a cause of loss covered under this policy.

This coverage does not apply to:

- a. merchandise or **stock**;
- b. property held for rental;
- c. **your** business samples.

5. **Property of Others In Your Care, Custody or Control While On the Described Premises-**(This coverage applies only when an 80% or higher coinsurance provision is shown on the Declarations page or if the type of policy on the Declarations page is indicated as **Business** owners).

You may apply up to 2% of the Coverage B limit of insurance, up to \$2,500 to cover the **business** property of others or to customer's goods in **your** care, custody or control.

This coverage applies only if loss or damage is caused by a covered cause of loss.

This coverage shall apply as an additional limit of insurance.

This coverage is only for the benefit of the owners of **business** property or to the owners of customer's goods.

6. **Business Credit Card, Forgery and Counterfeit Money.**

We pay up to \$500 per loss but no more than \$1,000 during each **required policy period** for loss sustained by an **insured** when such **insured**:

- a. becomes legally obligated to pay for the unauthorized use of **credit cards** issued or registered in the **insured's** name;
- b. suffers a loss through the forgery or alteration of checks, drafts, certificates of deposit and notes including negotiable orders of withdrawal; or
- c. accepts in good faith counterfeit United States or Canadian paper currency.

We do not pay for loss if:

- a. the **insured** has not complied with the **terms** under which the **credit card** was issued;
- b. the loss is caused by the dishonesty of an **insured**;
- c. the loss occurs while a person, not an **insured**, has possession of the **credit card** with an **insured's** permission; or
- d. the loss involves a bank debit card or similar device used for the deposit, withdrawal or transfer of funds.

D. EXCLUSIONS AND LIMITATIONS THAT APPLY

For Exclusions, Limitations and Property Not Covered which may affect **your** coverage, see Principal Coverages, Incidental Coverages, the Causes of Loss Section and other endorsements added to **your** policy.

Coverage for some excluded or limited causes of loss may be available at an additional cost.

E. CONDITIONS THAT SUSPEND INSURANCE

1. **Your** insurance is suspended when any hazard is increased by any means within **your** knowledge or control.
2. **Your** insurance is suspended while a described building is vacant or unoccupied beyond a period of sixty consecutive days.

F. HOW MUCH WE PAY FOR LOSS OR CLAIM

Settlement of property losses covered by this policy shall be made in accordance with the following provisions.

1. Property losses will be settled on the basis of the lesser of the following amounts:
 - a. the applicable limit of insurance;
 - b. the amount of **your** interest in the property;
 - c. the actual cash value of the property at the time of loss including an appropriate deduction for depreciation however caused;
 - d. the cost of repairing or replacing the property with materials of equivalent kind and quality to the extent practicable;
 - e. the amount computed after applying the deductible or other limitation applicable to the loss; or
 - f. (applies to mobile homes only at **your** option) the amount equal to the difference between the actual cash value of the property immediately before the loss and its actual cash value immediately after the loss.
2. **Coinsurance.**

If a coinsurance percentage applicable to a particular building and/or to **business** property is shown on the Declarations Page, then the following coinsurance provision applies to **your** policy:

Coinsurance Provision.

We require that **you** maintain a minimum limit of insurance when a coinsurance percentage is shown on the Declarations Page. If there is more than one building and/or **business** property designated on the Declarations Page as having coinsurance applicable, then the minimum insurance requirement applies separately to each building and/or **business** property.

The minimum limit of insurance required is the actual cash value of the insured property at the time of loss multiplied by the coinsurance percentage.

If the limit of insurance at the time of loss is less than the minimum limit of insurance required, **we** will pay only a part of the loss. **Our** part of the loss will be determined by dividing the limit of insurance on the property by the minimum limit of insurance required.

EXAMPLE—If **you** DO NOT maintain the required limit of insurance:

(NOTE: This example does not include a deductible).

a. Actual Cash Value	\$100,000
b. Coinsurance Percentage	80%
c. Minimum Limit of Insurance Required (\$100,000 x 80%)	\$ 80,000
d. Limit of Insurance (Amount shown on Declarations Page)	\$ 60,000
e. Amount of Loss as established under the provisions of 1. Above	\$ 20,000

In this example, **we** would pay **you** \$15,000. **We** arrive at this payment figure as follows:

1. **Our** part of the loss is 75%. (d. limit of insurance \$60,000 divided by c. limit of insurance required \$80,000).
2. \$20,000 loss is then multiplied by the 75% percent figure computed in step 1. to arrive at the part of the loss **we** will pay.
3. The uninsured loss is \$5,000.

NOTE: Under Coverage A—Building and Coverage B—**Business** Property the Incidental Coverages described in this policy shall NOT be considered in determining the actual cash value when applying the Coinsurance Provision.

3. **Replacement Cost Provision.**

If the Replacement Cost Provision (Form SF-27) is attached to this policy then losses to buildings and/or **business** property designated on that form shall be settled in accordance with the provisions contained in that form.

4. **Loss to a Pair or Set**-If there is loss to an article which is part of a pair or set, **we** are only liable for a reasonable proportion of the value of the entire pair or set, and the loss is not considered a total loss of the pair or set.

5. **Tenant's Improvements and Betterments**-will be valued at:

- a. actual cash value of the lost or damaged property if repaired or replaced at **your** expense within a reasonable time.
- b. a portion of **your** original cost if **you** do not make repairs. **We** will determine the proportionate value in the following manner:
 - (1) multiply the original cost by the number of days from the loss or damage to the expiration of the lease; and
 - (2) divide the amount determined in (1) above by the number of days from the installation of improvements to the expiration of the lease.

If **your** lease contains a **renewal** option, the expiration of the **renewal** option period will replace the expiration of the lease in this procedure.

- c. nothing if others pay for repairs or replacement.

6. **Deductible.**

The deductible applies to the following:

- a. Coverage A—Building.
- b. Coverage B—**Business** Property.
- c. Incidental Coverages.
- d. All additional property coverages added by endorsement.

The deductible applies to all covered causes of loss unless otherwise stated in the Declarations or any endorsement.

- e. **We** pay only that part of the loss over the deductible stated in the Declarations or endorsement. Not more than one deductible applies per loss but:
 - 1) If this policy covers more than one building, the deductible applies separately to each building.
 - 2) If this policy covers only **business** property, the deductible applies separately to **business** property in each building.
- f. If coverage is otherwise restricted by special limits of insurance, **our** liability must be separately computed under both the deductible and the special limit of insurance. **We** pay the lesser of the two amounts.
- g. If the same deductible amount applies to **your** building, and **business** property within that building, one deductible shall apply to the loss for the building and **business** property within that building; otherwise, the higher of any applicable deductible shall apply.

7. **Insurance Under More Than One Coverage**-If more than one coverage of this policy insures the same loss. **we** pay no more than the actual claim, loss or damage sustained.

8. **Insurance Under More Than One Policy.**

- a. **You** may have other insurance subject to the same plan, **terms**, conditions and provisions as the insurance under this policy. If **you** do, **we** will pay **our** share of the covered loss or damage. **Our** share is the proportion that the applicable Limit of Insurance under this policy bears to the Limits of Insurance of all insurance covering on the same basis.
- b. If there is other insurance covering the same loss or damage, other than that described in a. above, **we** will pay only for the amount of covered loss or damage in excess of the amount due from that other insurance, whether **you** can collect on it or not. But **we** will not pay more than the applicable Limit of Insurance.

9. **Restoration of Limit of Insurance**-Any loss **we** pay under this policy does not reduce the limits of insurance applying to a later loss.

G. PAYMENT OF LOSS OR CLAIM

1. In the event of loss or damages to property covered under this policy **we** will:

- a. pay the loss in money;
- b. rebuild, repair or replace with property of equivalent kind and quality, to the extent practicable, within a reasonable time.
- c. take all or any part of damaged property at the agreed or appraised value. Any property paid for or replaced shall become **our** property.

We will give notice of **our** intent to rebuild, repair or replace within 30 days after receipt of a duly executed proof of loss.

2. **Your Property-***We* will adjust all losses with **you**. An insured loss will be payable after a satisfactory proof of loss is received, and the amount of the loss has been established either by written agreement with **you** or the filing of an appraisal award with **us**. Payment will be made to **you** unless another loss payee is named in the policy.
3. **Property of Others-**Losses to property of others may be adjusted with **you**. *We* reserve the right to adjust with and pay to the owners. Payment to the owners satisfies **our** obligation to **you** for loss to this property. *We* may also choose to defend **you** against any **suits** arising from claims of the owners of property.
4. **Liens for Unpaid Taxes.**
We are required by the Insurance Law to deduct the claim of any tax district from the amount *we* pay **you** for a loss by fire.
To the extent *we* pay any tax district the amount certified as **your** unpaid taxes, *we* are no longer obligated to pay this amount to **you**.
Our payment of such claim to the tax district within 30 days of the receipt of a certificate of lien shall be considered by **you** and **us** that such claim was valid and properly paid.

H. WHAT YOU MUST DO IN CASE OF LOSS

1. **Notice.**
 - a. In case of a loss or if **you** become aware of anything that indicates there might be a claim under this policy, **you** must:
 - (1) promptly give **us** or **our** agent notice (in writing if requested);
 - (2) promptly notify the police when the act causing the loss is also a violation of law.
 - b. The notice to **us** must state:
 - (1) **your** name, the kind of policy, policy number and the time, place and circumstances of the loss; and
 - (2) names and addresses of any potential witnesses.
2. **Protect Property-****You** must take all reasonable steps to protect covered property at and after an insured loss to avoid further damage. *We* pay for repairs which are reasonable and necessary to protect the property from further damage, provided **you** keep an accurate record of such expenses. These payments do not increase the limit of insurance otherwise applicable to the loss.
3. **Cooperation-****You** must cooperate with **us** in performing all acts required by this policy.
4. **Volunteer Payments-****You** must not, except at **your** own cost, voluntarily make any payments, assume any obligations, pay or offer any rewards, or incur any other expenses.
5. **Proof of Loss-****You** must submit to **us** a proof of loss (sworn to by **you** if requested) within 60 days after the loss or accident containing the following information:
 - (1) the time, place and circumstances of loss;
 - (2) **your** interest and the interests of all others in the property involved, including all mortgages and liens on the covered property;
 - (3) other policies of insurance that may cover the loss on the property;
 - (4) changes in title or occupancy of the property during the policy period;
 - (5) available plans and specifications of buildings or structures;
 - (6) detailed estimates for repair of the damage; and
 - (7) if requested, an inventory of damaged personal property showing in detail the quantity, description, cost, actual cash value and amount of loss. **You** must attach to the inventory copies of all bills, receipts and related documents that substantiate the inventory.
6. **Additional Duties-****You** must:
 - a. if requested, submit to examination under oath at such times as may be reasonably required about any matter relating to this insurance or **your** claim, including **your** books and records. In such event, **your** answers must be signed;
 - b. exhibit the damaged property as often as *we* reasonably request;
 - c. produce records, including tax returns and bank microfilms of all cancelled checks, relating to value, loss and expenses and permit copies and extracts to be made of them as often as *we* reasonably request;
 - d. assist in enforcing any right of recovery which **you** may have against any party causing the loss.

I. POLICY CONDITIONS

In addition to the policy **terms** which are contained in other sections of this policy, the following conditions also apply.

1. **Assignment-**Assignment of this policy is not valid without **our** written consent.
2. **Cancellation.**

- a. **By You-You** may cancel this policy at any time by giving **us** written notice or returning the policy to **us** and stating when thereafter the **cancellation** is to be effective.
- b. **By Us-We** may cancel this policy by written notice delivered to or mailed to **you** at the address shown in the policy (and to **your** authorized agent or broker if required). Proof of delivery or mailing is sufficient proof of notice.

This notice must be delivered or mailed the required number of days prior to the effective date of the **cancellation**. For a description of the number of days of required notice, refer to: (1) **Nonpayment of premium**, (2) **New Policy** or (3) **All Other Situations**.

- c. **When We May Cancel-We** may cancel this policy under the following conditions:
 - (1) **Nonpayment of Premium**-If the premium has not been paid when due, **we** may cancel at any time by delivering or mailing to **you** the required notice at least fifteen days before cancellation is effective. Payment by **you** to the insurer, or to an agent or broker authorized to receive such payment, shall be considered timely if made within fifteen days after the mailing to **you** of a notice of cancellation for **nonpayment of premium**.
 - (2) **New Policy**-If this is a new policy which has been in effect less than sixty days, **we** may cancel for any reason by delivering or mailing the required notice to the first named **insured** at the mailing address shown in the policy at least twenty days before cancellation is effective. If upon review during this time period **we** find that a statutory provision/provisions for cancellation applies/apply, **we** may cancel this policy by mailing written notice to the first named **insured** at the mailing address shown in the policy at least fifteen days before cancellation is effective.
 - (3) **All Other Situations**-After a **covered policy** has been in effect for sixty days, or upon the effective date if such policy is a **renewal**, no notice of cancellation shall become effective until fifteen days after notice is delivered or mailed to the **insured** and such cancellation is based on one or more of the following statutory provisions:
 - (A) **Nonpayment of premium**;
 - (B) Conviction of a crime arising out of acts increasing the hazard insured against;
 - (C) Discovery of fraud or material misrepresentation in the obtaining of the policy or in the presentation of a claim thereunder;
 - (D) After issuance of the policy or after the last **renewal** date, discovery of an act or omission, or a violation of any policy condition, that substantially and materially increases the hazard insured against and which occurred subsequent to inception of the current policy period;
 - (E) Material physical change in the property insured, occurring after issuance or last annual **renewal** anniversary date of the policy, which results in the property becoming uninsurable in accordance with the insurer's objective, uniformly applied underwriting standards in effect at the time the policy was issued or last renewed; or material change in the nature or extent of the risk, occurring after issuance or last annual renewal anniversary date of the policy, which causes the risk of loss to be substantially and materially increased beyond that contemplated at the time the policy was issued or last renewed;
 - (F) Required pursuant to a determination by the superintendent that continuation of the present premium volume of the insurer would jeopardize that insurer's solvency or be hazardous to the interests of policyholders of the insurer, its creditors or the public;
 - (G) A determination by the superintendent that the continuation of the policy would violate or would place the insurer in violation of the law;
 - (H) Where the insurer has reason to believe, in good faith and with sufficient cause, that there is a probable risk or danger that the **insured** will destroy, or permit to be destroyed, the **insured** property for the purpose of collecting the insurance proceeds, provided, however, that:
 - (i) a notice of cancellation on this ground shall inform the **insured** in plain language that the **insured** must act within ten days if review by the Insurance Department of the ground for **cancellation** is desired pursuant to item (iii) of this subparagraph (H); and
 - (ii) notice of cancellation on this ground shall be provided simultaneously by the insurer to the Insurance Department; and
 - (iii) upon written request of the **insured** made to the department within ten days from the **insured's** receipt of notice of cancellation on this ground, the Insurance Department shall undertake a review of the ground for cancellation to determine whether or not the insurer has satisfied the criteria for cancellation specified in this subparagraph; if after such review the department finds no sufficient cause for **cancellation** on this ground, the notice of cancellation on this ground shall be deemed null and void.

- (1) With respect to professional liability insurance policies, revocation or suspension of the *insured's* license to practice his/her profession or, if the *insured* is a hospital, it no longer possesses a valid operating certificate under section twenty-eight hundred one-a of the public health law.
 - d. *We* refund the premium for the unexpired policy period on a pro rata basis.
 - e. **Refund of Premium**—Payment or tender of unearned premium is not a condition of cancellation. If the unearned premium is not refunded with the cancellation notice, it will be sent to *you* within a reasonable time.
 - f. **Loss Notice**—The company must advise the first named *insured* that he/she is entitled to loss information upon written request.
3. **Renewal/Nonrenewal.**
- 3a. **Nonrenewal**—*We* may elect not *to renew* or continue this policy by delivering or mailing to *you* and *your* authorized agent or broker written notice of *our* intent not *to renew*.
 - a. Such notice must:
 - (1) be given at least sixty but not more than one hundred twenty days in advance of the end of the *required policy period*.
 - (2) state *our* specific reason(s) for nonrenewal.
 - (3) be delivered or mailed to *you* at the address shown in the policy and to *your* authorized agent or broker. Proof of delivery or mailing is sufficient proof of notice.
 - (4) Loss Notice—The company must advise the first named *insured* that he/she is entitled to loss information upon written request.
 - (5) Requirements for nonrenewal shall not apply if the named *insured*, or an agent or broker authorized by the named *insured*, or another insurer of the named *insured* has delivered or mailed written notice that the policy has been replaced or is no longer desired.
 - b. Prior to the expiration date of this policy, in the event that a late nonrenewal notice is provided by the insurer, the coverage under this policy shall remain in effect:
 - (1) at the same *terms* and conditions contained in the expiring policy; and
 - (2) at the lower of the current rates or the prior period's rates until sixty days after the notice is delivered or mailed unless the *insured* elects to cancel sooner.
 - c. In the event that a timely and substantially complete notice is not provided by the insurer prior to the expiration date of the policy, coverage shall remain in effect:
 - (1) on the same *terms* and conditions of the expiring policy;
 - (2) for another *required policy period*; and
 - (3) at the lower of the current rates or the prior period's rates.

However, if the insurer has established the standards and procedures required by the law relating to notice requirements and the failure to comply with these standards and procedures is a result of inadvertence or clerical mistake, then the rates applicable to the remainder of the additional *required policy period* shall be the insurer's current rates at the *terms* and conditions of the expiring policy.
 - d. The issuance of a late or incomplete nonrenewal notice by the insurer shall not create a new annual aggregate liability limit (if any) for the *covered policy*, except that the annual aggregate limit of the expiring policy shall be increased in proportion to the policy extension, including any additional *required policy period* caused by the late or incomplete notice of nonrenewal.
 - e. If the insurer provides a timely notice of nonrenewal and thereafter the insurer extends the policy for ninety days or less, an additional notice of nonrenewal is not required with respect to the extension period.
 - 3b. **Conditional Renewal**—*We* may elect *to renew* or continue this policy under certain conditions. *We* may do so by delivering or mailing to *you* and *your* authorized agent or broker written notice.
 - a. This notice must:
 - (1) be delivered or mailed to *you* at least sixty but not more than one hundred twenty days in advance of the end of the *required policy period*;
 - (2) contain specific reason(s) for the conditional *renewal*;
 - (3) set forth the amount of any premium change if the increase is in excess of 10% unless the increase is due to increased insured values and/or increased coverages or is due to experience rating, retrospective rating or audit;
 - (4) set forth the nature of any proposed change(s) in the policy such as change(s) in limits, change(s) in type(s) of coverage(s), reduction(s) in coverage(s), increased deductible or the addition of an exclusion or exclusions;
 - (5) be delivered or mailed to the named *insured* at the address listed in the policy and to an authorized agent or broker of the *insured*. Proof of delivery or mailing is sufficient proof of notice; and

- (6) include a statement advising the first named **insured** that upon written request the company will provide loss information.
- b. Prior to the expiration date of the policy, in the event that an incomplete or late conditional **renewal** notice is provided by the insurer, the coverage under this policy shall remain in effect at:
- (1) the same **terms** and conditions of the expiring policy, and
 - (2) the lower of the current rates or the prior period's rates until sixty days after the notice is delivered or mailed unless the **insured** elects to cancel sooner.

However, if the **insured** elects to accept the **terms**, conditions and rates of the conditional **renewal** notice and renews the policy on that basis, then such **terms**, conditions and rates shall govern the policy upon expiration of such sixty-day period.

- c. In the event that a timely and substantially complete conditional **renewal** notice is not provided by the insurer prior to the expiration date of the policy, then coverage under the policy:
- (1) remains in effect for an additional **required policy period**;
 - (2) remains at the same **terms** and conditions as the expiring policy; and
 - (3) the rates for the additional **policy period** will be the lower of the current rates or the previous period's rates.

However, if the insurer has established the standards and procedures required by law relating to notice requirements, and the failure to comply with these standards and procedures is a result of inadvertence or clerical mistake, then the rates applicable to the remainder of the additional **required policy period** shall be the **insured's** current rates at the **terms** and conditions of the expiring policy.

- d. The issuance of a late or incomplete conditional **renewal** notice by the insurer shall not create a new annual aggregate limit (if any) for the **covered policy**, except that the annual aggregate limit of the expiring policy shall be increased in proportion to the policy extensions including any additional **required policy period**, caused by the late or incomplete conditional **renewal** notice.

However, if the **insured** accepts the **terms** of a conditional **renewal** offer, a new annual aggregate shall become effective as of the inception date of the **renewal**

- 3c. **Alternate Renewal Notice Procedure**-During the period of time the insurer is assessing its option(s) as to whether to nonrenew or conditionally renew a policy, the insurer must notify the **insured** and his/her authorized agent or broker.

This notice must contain the following:

- (1) The notice must be delivered or mailed at least sixty days prior to the expiration date of the policy;
- (2) The notice must be delivered or mailed to the named **insured** at the address in the policy and to an authorized agent or broker of the **insured**;
- (3) The notice must advise the **insured** that the policy will be either nonrenewed or renewed at different **terms**, conditions or rates;
- (4) The notice must advise the **insured** that a **SECOND NOTICE** will be sent at a later date;
- (5) The notice must advise the **insured** that coverage will continue at the same **terms**, conditions and rates until the later of:
 - (a) the expiration date, or
 - (b) 60 days after the **SECOND NOTICE** is delivered or mailed.
- (6) The **SECOND NOTICE** sent to the **insured** must advise the **insured**:
 - (a) of the specific reason or reasons for **nonrenewal** or conditional **renewal**, and
 - (b) of the amount of any premium increase if the increase is in excess of 10% and the nature of any other proposed changes.
- (7) The **SECOND NOTICE** must advise the first named **insured** that he/she is entitled to loss information upon written request.
- (8) If a substantially complete **SECOND NOTICE** is not delivered or mailed until after the expiration date of the policy, the **insured** is entitled to coverage under the policy:
 - (a) for an additional **required policy period**;
 - (b) at the same **terms** and conditions as the existing policy; and
 - (c) at the lower of the current rates or the rates of the previous period.

However, if the insurer has established the standards and procedures required by law relating to notice requirements and the failure to comply with these standards and procedures is a result of inadvertence or clerical mistake, then the rates applicable to the remainder of the additional **required policy period** shall be the **insured's** current rates at the **terms** and conditions of the expiring policy.

- (9) No notice is necessary if the insurer receives a written notice from the **insured**, his/her authorized agent or broker, or another insurer that the policy is no longer desired or has been replaced.

- 3d. **Policies Written For A Term Of Less Than One Year**-For policies issued to an *insured* for a seasonal purpose or to a policy issued to cover a particular project that will be performed in less than one year, the following provisions apply:
- During the first sixty days such policy is in effect, no cancellation shall become effective until twenty days after written notice is delivered or mailed to the *insured* at the mailing address shown in the policy;
 - After a policy has been in effect for sixty days, no notice of cancellation shall become effective until fifteen days after notice is delivered or mailed and such cancellation is based on one or more of the statutory provisions set forth in this form.
 - After a policy has been in effect for sixty days, no premium increase for the term of the policy shall be made to become effective unless due to and commensurate with insured value added, subsequent to issuance pursuant to the policy or at the *insured's* request.
4. **Change, Modification or Waiver of policy Terms**-A waiver or change of any *terms* of this policy must be issued by *us* in writing to be valid. *Our* request for an appraisal or examination under oath does not waive any of *our* rights.
- If *we* adopt any revision of forms or endorsements during a policy period which would broaden coverage under this policy without additional premium, the broadened coverage will automatically apply to this policy. If this policy is issued on a continuous basis (with no specified expiration date), *we* may substitute or add, upon any anniversary date, forms or endorsements which are authorized for use on this policy in accordance with *our* manual rules in effect at the time.
5. **Conformity with Statute-Terms** of this policy, in conflict with the statutes of the state where the premises described in the Declarations are located, are amended to conform to such statutes.
6. **Misrepresentation, Concealment or Fraud**-This entire policy is void if, whether before or after a loss:
- An *insured* has willfully concealed or misrepresented:
 - any material fact or circumstance concerning this insurance; or
 - an *insured's* interest herein.
 - There has been fraud or false swearing by an *insured* regarding any matter relating to this insurance or the subject thereof.
 - The notice provisions of Section 3426 of the Insurance Law shall apply to this condition.
7. **Inspection**-*We* are permitted but not obligated to inspect *your* property and operations. *Our* inspection or any resulting advice or report does not warrant that *your* property or operations are safe or healthful or are in compliance with any law, rule or regulation.
8. **Policy Premium**-If this policy is issued without a specified expiration date, it may be continued by payment of the required premium for the next annual period. The premium must be paid to *us* on or before each anniversary date. The policy expires on any anniversary date that the premium has not been received by *us*. Premium is subject to adjustment on the basis of the rates in effect at each anniversary date.
9. **Recoveries**-If *we* pay an *insured* for loss under this policy, and lost or damaged property is recovered or payment is made by those responsible for the loss, the following provisions apply:
- The *insured* must notify *us* or *we* will notify the *insured* promptly if either recovers property or receives payment.
 - Any proper expenses incurred by either party in making the recovery are reimbursed first.
 - The *insured* may keep recovered property by refunding to *us* the amount of the claim paid or any lesser amount to which *we* agree.
 - If the claim paid is less than the agreed loss due to a deductible, special limit of liability or other limiting *terms* of the policy, any recovery will be pro-rated between the *insured* and *us* based on *our* respective interests in the loss.
10. **Subrogation**
- If *we* make a payment under this policy, *we* may require that the *insured* assign to *us* his or her right of recovery against any person for the loss to the extent of the payment. The *insured* must do everything necessary to make this assignment and secure *our* rights.
 - We* are not liable for any loss if an *insured* does anything after the loss occurs to impair *our* right to recover. *You* may waive *your* right of recovery in writing before a loss occurs without voiding the coverage.
 - If *we* pay a loss to or on behalf of an *insured* and the *insured* recovers damages from another person for the same loss, the *insured* shall hold the amount recovered in trust for *us* and shall reimburse *us* as provided under Recoveries.
11. **Suit Against Us**-No *suit* to recover for any property claim may be brought against *us* unless:
- the *terms* of this policy have been fully complied with; and,

- b. the **suit** is commenced within 2 years after the loss. If any law of the state where the premises described in the Declarations are located makes this limitation invalid, then **suit** must begin within the shortest period permitted by the law.
12. **Abandonment of Property**-We may take the property or any part of it at the agreed or appraised value, but an **insured** may not abandon the covered property to **us** unless **we** specifically agree.
13. **Appraisal**-If **you** and **we** do not agree on the cost to repair or replace, actual cash value of or amount of loss to covered property when loss occurs, either party may demand that these amounts be determined by appraisal. If either makes a written demand for appraisal, each will select a competent, independent appraiser and notify the other of the appraiser's identity within 20 days of receipt of the written demand. The two appraisers will then select a competent, impartial umpire. If the two appraisers are unable to agree upon an umpire within 15 days, **you** or **we** can ask a judge of a court of record in the state where the property is located to select an umpire. The appraisers will then determine the amount of the damage stating separately, in detail: the cost to repair or replace, actual cash value of, and amount of loss to each building item and item of personal property. If the appraisers submit a written report of any agreement to **us**, the amount agreed upon will be the amount of damage or value. If the appraisers fail to agree within a reasonable time, they will submit only their differences to the umpire. Written agreement so itemized and signed by any two of these three sets the cost to repair or replace, actual cash value of and amount of loss to each item. Each appraiser will be paid by the party selecting that appraiser. Other expenses of the appraisal and the compensation of the umpire will be paid equally by **you** and **us**.
14. **No Benefit to Bailee**-Insurance under this policy shall not directly or indirectly benefit any hired carrier or anyone else who is paid for assuming custody of covered property.
15. **Secured Party Coverage**-Applies Only to Coverage on **Business** Property.
(This entire clause is void unless the name of a secured party is inserted in the Declarations or the Supplemental Declarations. This clause applies only to the interest of a secured party and does not affect the **insured's** rights or duties under the policy).
If a secured party is named in this policy, any loss payable on property subject to the security interest shall be payable to the secured party and **you** as interest may appear. If there is more than one security interest in the same property, the order of payment shall be the same as their order of priority.
If **we** deny **your** claim, that denial shall not apply to a valid claim of a secured party if such party has:
- notified **us** of any change in ownership, occupancy or substantial change in risk of which the secured party became aware;
 - paid any premium due under the policy on demand if **you** have not made such payment; and
 - submitted a signed, sworn proof of loss within 60 days if an **insured** has failed to do so.
- Policy conditions relating to Appraisal, **Suit** Against **Us** and Loss Payment apply to the secured party. If the policy is canceled by **us**, the secured party shall be notified at least 15 days before the date cancellation takes effect. If **we** pay the secured party for any loss for which **we** have denied payment to **you**:
- we** are subrogated to all the rights of the secured party granted under the security agreement; or
 - at **our** option **we** may pay the secured party the remaining amount due on the security agreement plus interest and receive a full assignment of the security agreement and any securities held as collateral for the agreement.
- However, the secured party's interest is not covered for conversion, embezzlement or secretion by an **insured** in possession of the encumbered property, unless specifically insured against and premium paid for such.
16. **Mortgage Clause**-Applies only to Coverage on Buildings
(This entire clause is void unless the name of the mortgagee (mortgage holder), or trustee under a trust deed, is inserted in the Declarations. This clause applies only to the mortgagee (or trustee) and does not affect **your** rights or duties under this policy).
- We** will pay for loss or damage to buildings to each mortgagee shown on the Declarations and to **you** as interests may appear. If more than one mortgagee is named in the Declarations, they shall be paid in order of priority.
 - The mortgagee is entitled to receive loss payment even if the mortgagee has started foreclosure or other similar proceedings on the building or structure.
 - The insurance for the mortgagee continues in effect even when **your** insurance may be void because of **your** acts, neglect or failure to comply with policy **terms** provided that the mortgagee:
 - (1) Pays any premium due under this policy at **our** request insofar as **you** have failed to do so;
 - (2) Submits a signed, sworn proof of loss within 60 days after receiving notice from **us** of **your** failure to do so; and
 - (3) Notifies **us** of any change in ownership, occupancy or substantial change in risk known to the mortgagee.
- If all of these conditions are met, then the **terms** of this policy will apply directly to the mortgagee.

- d. If **we** pay the mortgagee for a loss where **your** insurance may be void as a result of **your** acts, neglect or failure to comply with policy **terms** then:
 - (1) The mortgagee's rights under the mortgage will be transferred to **us** to the extent of the amount **we** pay; and
 - (2) The mortgagee's right to recover the remainder of the mortgage debt from **you** will not be impaired. At **our** option, **we** may pay the mortgagee the remaining principal and accrued interest in return for a full assignment of the mortgagee's interest and any instruments given as security for the mortgage debt.
- e. If **we** cancel this policy, **we** will give written notice to the mortgagee at least:
 - (1) 10 days before the effective date of cancellation if **we** cancel for **nonpayment of premium** or other statutory reasons; or
 - (2) 30 days before the effective date of cancellation if **we** cancel for any other reason.
- f. If **we** do not renew this policy, **we** will give written notice to the mortgagee at least 10 days before the expiration of this policy.



AGREEMENT

This policy, subject to all of its **terms**, provides insurance against covered loss to described property, **business** liability insurance and other described coverages during the policy period in return for payment of the **required premium**. The policy consists of this Agreement, the Declarations, Supplemental Declarations, the General Policy Provisions and any forms or endorsements made part of it, including any State mandated endorsements. Each part is subject to all of the policy **terms** relating to it, including the **terms** applicable to the entire policy.

Endorsements attached to this policy which increase existing coverage or add new coverage may result in a premium increase. Electing increased deductibles, coverage limiting endorsements or exclusionary endorsements may result in a reduction of premium.

It is recommended that **you** read and understand this contract and retain it for future reference.

The Table Of Contents shows the policy format. The coverage(s) **you** selected are shown on the Declaration Page or other attachments comprising a part of this policy.

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Endorsements-See endorsements (if any) attached to this policy.

In addition to any other coverage shown:

1. on the Declarations Page;
2. on the Supplemental Declarations Page;
3. on the General Policy Provisions, General Liability Coverage;
4. on any other endorsements attached to this policy;

We provide the following additional coverages subject to the **terms** contained in the General Policy Provisions.

The total amount recoverable under the Additional Coverages, listed below or listed on any other form made part of this policy, is not cumulative and is limited to the amounts shown.

This policy applies to the twelve property and liability coverages described below:

1. Accounts Receivable;
2. **Business** Credit Card, Forgery and Counterfeit Money;
3. **Business** Property;
4. Debris Removal;
5. Employee Dishonesty;
6. Money and Securities;
7. Property of Others;
8. Tools & Equipment off premises;
9. Valuable Papers and Records;
10. While Away from the **insured premises**;
11. Medical Payments; and
12. Manufacturers' & Contractors' Liability.

The following coverages DO NOT APPLY to **your** policy unless noted on the face of the Supplemental Declarations and the appropriate premium has been paid.

Optional Craftsmans' Coverages (property and liability):

- | | |
|------------------------------------|---|
| 1. Builders' Risk Forms | 1. Products/Completed Operations (LS-42) |
| 2. Computer Floater | 2. Owners & Contractors Protective Liability (LS-8) |
| 3. Contractors' Equipment Floaters | 3. Fire Legal Liability (LS-48) |
| 4. Installation Floaters | 4. Personal Injury Liability (LS-49) |
| 5. Loss of Earnings | |
| 6. Storage Buildings & Contents | Optional Liability Coverage Upgrades |
| 7. Tenant's Improvements | 1. BGL (with increased limits) (LS-5) |
| 8. Tools & Equipment Floaters | 2. BGL-Extra (with increased limits) (LS-6) |

Other forms may be made available for use with this policy.

GENERAL POLICY PROVISIONS

DEFINITIONS-The following definitions apply to this policy:

1. The words **you** and **your** refer to the person or entity named in the Declarations and the words **we**, **us** and **our** refer to the Granite Row named in the Declarations.
2. **Business** means a trade, profession or other occupation including farming, all whether full or part time.
3. **Covered Policy** means a policy of commercial risk insurance, professional liability insurance or public entity insurance.
4. **Insured** means the person or entity named in the Declarations
 - a. **Insured** means **you** or **your** legal representative. However, **your** legal representative is an **insured** only with respect to property covered by this insurance.
 - b. Each person listed above is a separate **insured** under this policy but, this does not increase **your** amount of insurance under this policy.
5. **Insured Premises**
 - a. If **you** own the building described in the Declarations, the **Insured premises** means the building and the grounds at that location described in the policy.
 - b. If, at the location described in the policy, **you** lease the entire building or a portion of the building, **insured premises** means the parts of the described premises which are used or occupied exclusively by **you**.
6. **Nonpayment of Premium** means the failure of the named **insured** to discharge any obligation in connection with the payment of premiums on a policy of insurance or any installment of such premium, whether the premium is payable directly to an insurer or its agent or indirectly under any premium finance plan or extension of credit. Payment to an insurer, or to an agent or broker authorized to receive such payment shall be timely if made within fifteen days after the mailing to the **insured** of a notice of cancellation for **nonpayment of premium**.
7. **Renewal** or **to Renew** means the issuance, or offer to issue by an insurer, of a policy superseding a policy previously issued and delivered by the same insurer, or another insurer within the same group or under common management, or the issuance or delivery of a certificate or notice extending the term of a policy beyond its policy period or term. However, any policy with a policy period or term of less than one year shall be considered as if

written for a policy period or term of one year, and any policy with no fixed expiration date or with a policy period or term of more than one year shall be considered as if written for successive policy periods of one year.

8. **Required Policy Period** means a period of one year from the date a **covered policy** is **renewed** or first issued.
9. **Stock** means merchandise held in storage or for sale, raw materials, and in-process or finished goods, including supplies used in their packing or shipping.
10. **Terms** as used in this policy means provisions, limitations, exclusions, definitions and conditions.

COVERED CAUSES OF LOSS

Covered causes of loss means risks of direct physical loss except as excluded or limited by **your** policy.

PRINCIPAL COVERAGES

ACCOUNTS RECEIVABLE.

What **We** Pay For:

We pay up to \$1000 for loss or damage to Accounts Receivable caused by covered causes of loss occurring on the described premises.

What **We** Do Not Pay For:

We do not pay for:

1. loss due to any fraudulent, dishonest or criminal act by any **insured**, a partner, or an officer, director or trustee, while working or otherwise and whether acting alone or in concert with others;
2. loss due to bookkeeping, accounting or billing errors or omissions;
3. loss, the proof of which as to factual existence, is dependent upon an audit or inventory computation. This shall not prevent the use of such procedures in support of a claim for loss which the **insured** can prove, through evidence wholly apart from an audit or an inventory, is due solely to a risk of loss of records of accounts receivable but not otherwise excluded under this policy;
4. loss due to alteration, falsification, manipulation, concealment, destruction or disposal of records of accounts receivable committed to conceal the wrongful giving, taking, obtaining or withholding of money, securities or other property but only to the extent of such wrongful giving, taking, obtaining or withholding;
5. loss due to electrical or magnetic injury, disturbance or erasure of electronic recordings, except by lightning;
6. loss due to nuclear reaction, nuclear radiation or radioactive contamination, or any other act or condition incident to them; or
7. loss caused by or resulting from:
 - a. hostile or warlike action in time of peace or war, including action in hindering, combatting or defending against an actual, impending or expected attack by:
 - 1) any government or sovereign power, or by any authority maintaining or using military, naval or airforces; or
 - 2) military, naval or airforces; or
 - 3) an agent of any such government, power, authority or forces;
 - b. any weapon of war employing atomic fission or radioactive force whether in time of peace or war; or
 - c. insurrection, rebellion, revolution, civil war, usurped power, or action taken by governmental authority in hindering, combatting or defending against such an **occurrence**, seizure or destruction under quarantine or customs regulations, confiscation by order of any government or public authority, or risks of contraband or illegal transportation or trade.

BUSINESS CREDIT CARD, FORGERY AND COUNTERFEIT MONEY.

What **We** Pay For:

We pay up to \$1,000 for loss when **you**:

1. become legally obligated to pay for the unauthorized use of credit cards issued or registered in **your** name;
2. suffer a loss through forgery or alteration of checks, drafts, certificates of deposit and notes including negotiable orders of withdrawal drawn or issued by **you**; or
3. accept, in good faith, counterfeit United States or Canadian paper currency.

The sum of \$1,000 shall be the maximum payable for loss in any one **occurrence**.

What **We** Do Not Pay For:

1. any loss sustained as a result of **your** failure to comply with all of the requirements of the credit card;
2. any loss resulting from **your** dishonesty;
3. any loss resulting from use of the credit card by anyone with **your** permission; or
4. any loss involving a bank debit card or similar device used to deposit, withdraw or transfer funds.

BUSINESS PROPERTY.

We pay up to \$1,000 for loss or damage to **business** property caused by covered causes of loss occurring on or within 100 feet of the **Insured premises**. This includes:

1. furniture and fixtures;
2. **your business** personal property
3. **your** interest in the property of others to the extent of labor, materials or services that **you** provide; and
4. all other **business** property owned or used by **you** in **your business**.

What **We** Do Not Pay For:

We Do Not Pay For Loss Or Damage To:

1. automobiles, motor vehicles, trailers or any other vehicle designed for use on highways to transport people or property;
2. plans, blueprints, designs, specifications or other similar property except as included in specific insuring agreements;
3. property which is intended for or has become a permanent part of any structure;
4. contractor's equipment, except as separately covered;
5. accounts, bills, currency, deeds or evidences of debt except as included in specific insuring agreements;
6. aircraft, including equipment and accessories;
7. animals, birds and fish;
8. antennas and satellite dishes, including their wiring, accessories, masts and towers;
9. bullion and manuscripts, except as included in specific insuring agreements;
10. **business** property away from the **insured premises**, except as included in specific insuring agreements;
11. electronic devices, accessories or antennas that may be operated from the electrical system of a motorized vehicle, farm equipment or watercraft. This includes films, tapes, wires, discs, records or other media for use with such devices;
12. household or personal property;
13. loss of earnings, except as separately covered;
14. loss due to delay, loss of market, suspension, lapse or cancellation of any lease, agreement or contract;
15. property of others, except as included in specific insuring agreements;
16. recreational vehicles, including equipment and accessories;
17. the cost to research, replace or restore the information on valuable papers and records, including those which exist on electronic or magnetic media, except as included in specific insuring agreements; or
18. watercraft, including motors, equipment and accessories.

DEBRIS REMOVAL.

What **We** Pay For:

We pay up to \$1,000, as an additional amount, only when the sum of necessary expense of removal of the covered debris and the covered property loss exceeds the amount of insurance applicable in this policy.

EMPLOYEE DISHONESTY.

What **We** Pay For:

We pay up to \$1,000 for loss of **money**, **securities** or other **business** property by any fraudulent or dishonest act(s) committed by any employee, whether acting alone or in collusion with others.

What **We** Do Not Pay For:

This coverage does not apply:

1. to loss due to any fraudulent, dishonest or criminal act by **you**, or by any partner, officer, director, trustee or joint venturer, whether acting alone or in collusion with others;

2. to loss, the proof of which, either as to its factual existence or its amount, is dependent upon an inventory computation or profit and loss computation. However, this exclusion does not apply to loss which **you** can prove through evidence wholly apart from such computations; or
3. to any mysterious or unexplained disappearance or shortage of property.

The loss must be discovered not later than one year from the date on which this coverage terminates.

Employee dishonesty coverage shall be cancelled as to any employee immediately on discovery by the **insured**, or by any partner or officer of the company not in collusion with such employee, of any fraudulent or dishonest act on the part of such employee, whether committed before or after the date of employment by **you**.

Our payment of any loss under this agreement shall not reduce the amounts of insurance of **your** policy.

MONEY AND SECURITIES.

What **We** Pay For:

We pay up to \$1,000 for the loss of **money** and **securities** because of the actual destruction, disappearance or a dishonest act. This coverage applies if the loss occurs:

1. within **your** place of **business** at the **business** address shown on the Declaration Page;
2. within any banking premises or similar place of safe deposit;
3. outside **your** place of **business** (but within the policy territory) while in the possession of any person whom **you** have authorized to have the care and custody of **money** and **securities** away from **your** place of **business**; and
4. while this coverage is in effect.

The amount of \$1,000 shall be the total amount of insurance on all loss of **money** or **securities** arising out of any one **occurrence**. All loss connected with an actual or attempted dishonest act, or series of related acts, whether committed by one or more persons, shall be deemed to rise out of one **occurrence**.

What **We** Do Not Pay For:

This coverage for money and securities does not apply:

1. to loss due to any fraudulent, dishonest or criminal act by **you**, by any of **your employees**, partners, officers, directors, trustees, joint venturers or authorized representatives, whether acting alone or in collusion with others.
2. to loss due to giving or surrendering of **money** or **securities** in any exchange or purchase.
3. to **money** contained in coin-operated amusement devices or vending machines, unless the device or machine has an instrument that records the amount of **money** deposited.
4. to any loss due to accounting or arithmetical errors or omissions.

DEFINITIONS- the following definitions apply to this policy for **money** and **securities**;

1. **Money** means currency, coins, banknotes and bullion; travelers checks, register checks and **money** orders held for sale to the public.
2. **Securities** means all negotiable and non-negotiable instruments or contracts representing either **money** or other property and includes revenue and other stamps in current use, tokens and ticket, but does not include **money**.
3. **Employee** means a person who is engaged in a service usual to **your business** operations and to whom **you** pay salary, wages or commission. **you** have the exclusive right to direct this person in their performance of his/her service. This definition excludes any broker, factor, commission merchant, consignee, contractor or other agent or representative.

PROPERTY OF OTHERS.

What **We** Pay For:

We pay up to \$1,000 for loss or damage from covered causes of loss to property of others in **your** care, custody and control while on the **insured premises**.

TOOLS & EQUIPMENT OFF PREMISES.

What **We** Pay For:

We pay up to \$1,000 for loss or damage from covered causes of loss to **your** tools and equipment while at or enroute to or from job sites where **you** have on-going operations. Tools and equipment means the implements necessary to conduct the covered operation(s). Theft of unattended tools and equipment is covered only when the property is locked in a secure area and evidence of forced entry is visible.

VALUABLE PAPERS AND RECORDS.

We pay up to \$1,000 for loss or damage to **Valuable papers** and **Records** on the described **premises**.

What **We** Do Not Pay For:

1. loss due to any fraudulent, dishonest or criminal act by **you**, a partner, an officer, director or trustee;
2. loss resulting from errors or omissions in processing or copying;
3. loss due to wear and tear;
4. loss to property which cannot be replaced by other of like kind or quality;
5. loss due to electrical or magnetic injury, disturbance or erasure of electronic recordings, except by lightning;
6. loss of property held as samples or for sale or delivery after sale; and
7. loss of **money** or **securities**.

DEFINITIONS-the following definitions apply to this policy for Valuable Papers and Records:

1. **Valuable Papers** and **Records** means written, printed or otherwise inscribed documents and records, including books, maps, films, drawings, abstracts, deeds, mortgages and manuscripts.
2. **Premises** means the interior portion of the building occupied by **you** for **business** purposes.
3. **Money** means currency, coins, banknotes and bullion; travelers checks, register checks and **money** orders held for sale to the public.
4. **Securities** means all negotiable and non-negotiable instruments or contracts representing either **money** or other property and includes revenue and other stamps in current use, tokens and tickets, but does not include **money**.

WHILE AWAY FROM THE INSURED PREMISES.

What **We** Pay For:

We pay up to \$1,000 for loss or damage from covered causes of loss to **your business** property (other than tools and equipment) covered under this policy while temporarily at locations that **you** do not own, control, operate or lease.

PREMISES MEDICAL PAYMENTS

What **We** Pay For:

We pay up to \$1,000 per person and up to \$25,000 per accident when two or more people sustain injuries.

We pay the necessary **medical expenses** incurred or medically determined within one year from the date of an accident causing **bodily injury** to which this coverage applies. This coverage applies only to **bodily injury**:

1. caused by a condition on the premises **you** own or rent;
2. caused by a condition on ways next to premises **you** own or rent;
3. caused by operations covered by the **bodily injury** liability afforded by this policy.

What **We** Do Not Pay For:

We do not pay for loss resulting directly or indirectly from the following, unless specific coverage is added to **your** policy:

(a) **bodily injury**:

- (1) arising out of the ownership, maintenance, operation, use, entrusting, loading or unloading of:
 - (i) any **automobile** or aircraft owned or operated by or rented or loaned to any **insured**; or
 - (ii) any other **automobile** or aircraft operated by any person in the course of his/her employment by any **insured**; but this exclusion does not apply to the parking of an **automobile** on the **insured premises** if such **automobile** is not owned by or rented or loaned to any **insured**;
- (2) arising out of:

- (i) the ownership, maintenance, operation, use, entrusting, loading or unloading of any **mobile equipment** while being used in any prearranged or organized racing, speed or demolition contest or in any stunting activity or in practice or preparation for any such contest or activity; or
 - (ii) the operation or use of any snowmobile or trailer designed for use therewith;
 - (3) arising out of the ownership, maintenance, operation, use, entrusting, loading or unloading of:
 - (i) any watercraft owned or operated by or rented or loaned to any **insured**; or
 - (ii) any other watercraft operated by any person in the course of his employment by any **insured**; but this exclusion does not apply to watercraft while ashore on the **insured premises**; or
 - (4) arising out of and in the course of the transportation of **mobile equipment** by an **automobile** owned or operated by or rented or loaned to any **insured**.
- (b) **bodily injury**:
- (1) included within the **products/completed operations hazard**;
 - (2) arising out of operations performed for the **named insured** by independent contractors other than:
 - (i) maintenance and repair of the **insured premises**; or
 - (ii) structural alterations at such premises which do not involve changing the size of or moving buildings or other structures;
 - (3) resulting from the selling, serving or giving of any alcoholic beverage:
 - (i) in violation of any statute, ordinance or regulation;
 - (ii) to a minor;
 - (iii) to a person under the influence of alcohol; or
 - (iv) which causes or contributes to the intoxication of any person, if the **named insured** is a person or organization engaged in the manufacture, distribution, sale or serving of alcoholic beverages or, if not so engaged, is an owner or lessor of premises used for such purposes;
 but only part (i) of the exclusion (b) (3) applies when the **named insured** is such an owner or lessor;
 - (4) due to war, whether or not declared, or to any act or condition incident to war. War includes civil war, insurrection, rebellion or revolution.
- (c) **bodily injury**:
- (1) to any **insured**, any tenant of the **insured** or other person regularly residing on the **insured premises** or any person hired by or on behalf of any **insured** to do **work** for an **insured**;
 - (2) to any person if the **bodily injury** occurs on that part of the premises **you** own or rent that the person normally occupies;
 - (3) to any person while engaged in maintenance and repair of the **insured premises** or alteration, demolition or new construction at such premises;
 - (4) to any person if any benefits for such **bodily injury** are payable or required to be provided under any workers' compensation, unemployment compensation or disability benefits law, or under any similar law;
 - (5) to any person practicing, instructing or participating in any physical training, sport, athletic activity or contest whether on a formal or informal basis;
 - (6) excluded under the applicable liability coverage.
- d) to any **medical expense** for services by the **named insured**, any employee or any person or organization under contract to the **named insured** to provide such services.

DEFINITION:

The following definition applies to **Premises Medical Payments**:

Medical Expense means expenses for necessary medical, surgical, x-ray, and dental services, including prosthetic devices, and necessary ambulance, hospital, professional nursing and funeral services.

CONDITIONS APPLICABLE TO MEDICAL PAYMENTS:

1. Medical Reports; Proof and Payment of Claim

As soon as practicable the injured person or someone on his/her behalf shall give to **us** written proof of claim, under oath if required, and shall, after each request from **us**, execute authorization to enable **us** to obtain medical reports and copies of records. The injured person shall submit to physical examination by physicians selected by **us** when and as often as **we** may reasonably require. **We** may pay the injured person or any person or organization rendering the services and the payment shall reduce the amount payable for such injury.

Payment shall not constitute an admission of liability of any person or of **us**.

2. **Our** Limit of Liability:

The limit of liability as stated on the Declarations page as applicable to "each person" is the limit of **our** liability for all **medical expenses** for **bodily injury** to any one person as the result of any one accident. BUT, subject to the above provision regarding "each person", **our** total liability, under this endorsement, for all **medical expenses** for **bodily injury** to two or more persons as the result of any one accident will not exceed the amount of \$25,000 unless an increased amount is shown on the Supplemental Declarations.

GENERAL LIABILITY COVERAGE

The Manufacturers' and Contractors' Liability Insurance Coverage (LS-3) is the standard insuring agreement forming a part of this policy. **We** pay up to \$25,000 (or the additional amount specified on the Declarations or Supplemental Declarations) for **bodily injury** and **property damage** caused by an **occurrence** within the **coverage territory** during the policy period. The LS-3, or any substitute form shown on the Supplemental Declarations, will be included in its entirety with this policy.

The complete Manufacturers' and Contractors' Liability Insurance Coverage (or other insuring form which **you** select) consists of the Declarations Page, Supplemental Declarations Page, the LS-3 Booklet (or other insuring form booklet that **you** selected) and other endorsements which may be added, including State required endorsements. It is important that **you** read each part of **your** policy carefully to understand the coverage provided, **your** obligations and **our** obligations under the policy. Each coverage part is subject to all of the **terms** relating to that coverage.

INCIDENTAL COVERAGES

This policy also provides Incidental Coverages. These Incidental Coverages are subject to all of the **terms** of the applicable Principal Coverage. These Incidental Coverages do not increase the amount of insurance stated for the Principal Coverage.

1. REMOVAL.

a. Emergency Removal:

- 1) If **you** remove property covered by this policy from the **insured premises** to preserve it from damage from covered causes of loss, **we** pay for loss. Once removed, such property is covered against direct loss from covered causes of loss not specifically excluded under this policy, for a period up to ten days. This coverage does not extend past the expiration date of the policy.

b. Debris Removal-**We** cover the cost of removing debris of the covered property caused by a covered cause of loss.

This coverage does not include costs to:

- 1) extract **pollutants** from land or water; or
- 2) remove, restore or replace polluted land or water.

We will not pay more under this debris removal coverage than 25 percent of the amount **we** pay for direct loss or damage. **We** will not pay more for loss to property and debris removal combined than the amount of insurance for the property.

We will not pay any expenses unless they are reported to **us** within 180 days of the direct physical loss or damage to covered property.

2. **REPAIRS-We** cover the cost of repairs that are reasonable and necessary to protect covered property from further damage after damage resulting from a covered cause of loss. **We** will not pay more for loss to property and repairs combined than the amount of insurance for the property.
3. **CHANGE OF LOCATION-When you** move to another location, the applicable amount of insurance applies pro-rata at each location for 30 days from the date **you** begin to move.

EXCLUSIONS THAT APPLY

We will not pay for loss or damage caused directly or indirectly by any of the following causes. Such loss or damage is excluded regardless of any other cause or event that contributes concurrently or in any sequence to the loss.

For other Exclusions, Limitations and Property Not Covered which may affect **your** coverage, see Principal Coverages, Incidental Coverages, and other endorsements added to this policy.

1. **Business Interruption**-means loss resulting from the interruption of **business**.
2. **Civil Authority**-means loss, including seizure, confiscation or destruction of property, caused by the order of any civil authority. But, **we** will pay for acts of destruction ordered by government authority and taken at the time of fire to prevent its spread if the fire would be covered under this coverage part.
3. **Earth Movement of any kind**-This includes, but is not limited to:
 - a. any earth movement (other than sinkhole collapse), such as earthquake, landslide, or earth sinking, rising or shifting. But, if loss or damage by fire or explosion results, **we** will pay for that resulting loss or damage.

- b. volcanic eruption, explosion or effusion. But, if loss or damage by fire, building glass breakage or volcanic action results, *we* will pay for that resulting loss or damage. Volcanic action means direct loss or damage resulting from the eruption of a volcano when the loss or damage is caused by:

- 1) Airborne volcanic blast or airborne shock waves;
- 2) Ash, dust or particulate matter; or
- 3) Lava flow.

All volcanic eruptions that occur within any 72-hour period will constitute a single **occurrence**. Volcanic action does not include the cost to remove ash, dust or particulate matter that does not cause direct physical loss or damage to the described property.

4. **Neglect**-means neglect by an *insured* to use all reasonable means to save covered property at and after the time of a loss. It also means neglect by any *insured* to use all reasonable means to save and preserve covered property when endangered by causes of loss not otherwise excluded.
5. **Nuclear Clause**-This policy does not cover loss or damage caused by nuclear reaction or nuclear radiation or radioactive contamination, however caused. But, if loss or damage by fire results, *we* will pay for that resulting loss or damage.
6. **Ordinance or Law**-means loss or increased cost resulting from enforcement of any code, ordinance or law regulating the use, construction, repair or demolition of a building or other structure, including the cost of removing its debris. When breakage of glass is covered by this policy, *we* pay to replace damaged glass with safety glazing materials where required by code, ordinance or law.
7. **Power Interruption**-means loss from the interruption of power or other utility services resulting from any cause, whether covered under this policy or not, if interruption takes place away from the *insured premises*. *We* pay for loss to covered property by power interruption as the direct result of damage to covered property on premises caused by a covered cause of loss.
8. **Temperature-Humidity**-means loss resulting from dampness, dryness, or changes in or extremes of temperature.
9. **War**-means undeclared war, civil war, insurrection, rebellion, revolution, warlike act by a military force or military personnel, or destruction, seizure or use of property for a military purpose. It includes any consequence of any of these. Discharge of a nuclear weapon shall be deemed a warlike act even if accidental.
10. **Water Damage**-means loss caused by:
- a. flood, surface water, waves, tides, tidal water or overflow of a body of water or spray from any of these all whether wind driven or not;
 - b. water which backs up through sewers or drains;
 - c. water below the surface of the ground pressing on or flowing or seeping through:
 - 1) foundations, walls, floors or paved surfaces;
 - 2) basements, whether paved or not; or
 - 3) swimming pools or other structures. But, if loss or damage by fire or explosion results, *we* will pay for that resulting loss or damage.
11. **Wear and Tear**-This includes damage caused by marring or scratching, deterioration, hidden or latent defect or any quality in property that causes it to damage or destroy itself, mechanical breakdown, rust, wet or dry rot, corrosion, mold, contamination or smog. But, if loss or damage is caused by covered causes of loss, or building glass breakage results, *we* will pay for that resulting loss or damage.
12. **Dishonest or Criminal Act**-means loss caused by or resulting from any dishonest or criminal act by *you*, any of *your* partners, directors, trustees, joint venturers or anyone to whom *you* entrust the property for any purpose:
- a. whether acting alone or in collusion with others; or
 - b. whether or not occurring during the hours of employment.
- This exclusion does not apply to employee dishonesty specifically covered by this policy and any such loss is subject to the **terms**, conditions and amounts of insurance applicable.
13. **Explosion**-*We* do not pay for loss caused by:
- a. explosion of steam boilers, steam pipes, steam turbines or steam engines if owned, leased by or operated under *your* control;
 - b. shock waves caused by aircraft, known as "sonic boom";
 - c. electric arcing;
 - d. rupture or bursting of rotating or moving parts of machinery caused by centrifugal force or mechanical breakdown;
 - e. water hammer;
 - f. rupture or bursting of water pipes;
 - g. rupture, bursting or operating of pressure relief devices; or

- h. rupture or bursting due to expansion or swelling of the contents of any building or structure, caused by or resulting from water.

But, if loss or damage by fire or combustion explosion results, **we** will pay for that resulting loss or damage.

We will also pay for loss or damage caused by or resulting from the explosion of gases or fuel within the furnace of any fired vessel or within the flues or passages through which the gases of combustion pass.

- 14. **Machines and Machinery-We** do not pay for loss or damage to machines or machinery caused by rupture, bursting or disintegration of their rotating or moving parts resulting from centrifugal or reciprocating force.
- 15. **Disappearance-We** do not pay for loss resulting from unexplained or mysterious disappearance, or shortage discovered on taking inventory.
- 16. **Artificially Generated Electrical Currents-We** do not pay for loss resulting from any electrical injury or disturbance to electrical appliances, devices, fixtures or wiring caused by electrical currents artificially generated unless fire ensues, and then **we** pay only for the loss caused by the fire.
- 17. **Delay Loss of Use or Loss of Market-We** do not pay for loss resulting from delay, loss of use, or loss of market.
- 18. **Voluntary Parting-We** do not pay for loss caused by or resulting from voluntary parting with title or possession of any property because of any fraudulent scheme, title or false pretense.
- 19. **Business Property in the Open-We** do not pay for loss to **business** property in the open caused by rain, snow, ice or sleet.
- 20. **Animals-We** do not pay for loss caused by or resulting from animals, including rodents, insects and birds.
We will pay for any resulting loss caused by covered causes of loss.
- 21. **Loss by theft** from any unattended vehicle unless at the time of the theft it's windows, doors and compartments were closed and locked and there are visible signs to the vehicle that the theft was the result of forced entry. This exclusion does not apply to property in the custody of a carrier for hire.
- 22. **Loss caused by wear and tear**, deterioration, inherent vice, latent defect, corrosion, rust, freezing or mechanical or electrical breakdown or failure.
- 23. **Loss caused by or resulting from any repairing**, adjusting, servicing or other maintenance operations excepting an ensuing direct loss by fire or explosion.

CONDITIONS THAT SUSPEND INSURANCE

- 1. **Your** insurance is suspended when any hazard is increased by any means within **your** knowledge or control.
- 2. **Your** insurance is suspended while a described building is vacant or unoccupied beyond a period of sixty consecutive days.

HOW MUCH WE PAY FOR LOSS OR CLAIM

Settlement of property losses covered by this policy shall be made in accordance with the following provision.

- 1. **Property losses** will be settled on the basis of the lesser of the following amounts:
 - a. the applicable amount of insurance;
 - b. the amount of **your** interest in the property;
 - c. the actual cash value of the property at the time of loss including an appropriate deduction for depreciation, however caused;
 - d. the cost of repairing or replacing the property with materials of equivalent kind and quality to the extent practicable; or
 - e. the amount computed after applying the deductible or other limitations applicable to the loss.
- 2. **Loss to a Pair or Set**-If there is loss to an article which is part of a pair or set, **we** are only liable for a reasonable proportion of the value of the entire pair or set and the loss is not considered a total loss of the pair or set.
- 3. **Tenant's Improvements**-(when applicable) will be valued at:
 - a. actual cash value of the lost or damaged property if repaired or replaced at **your** expense within a reasonable time;
 - b. a portion of **your** original cost if **you** do not make repairs. **We** will determine the proportionate value in the following manner:
 - 1) multiply the original cost by the number of days from the loss or damage to the expiration of the lease; and
 - 2) divide the amount determined in 1) above by the number of days from the installation of improvements to the expiration of the lease.If **your** lease contains a **renewal** option, the expiration of the **renewal** option period will replace the expiration of the lease in this procedure.
 - 3) nothing, if others pay for repairs or replacement.

4. **Deductible.**

The deductible applies to the following:

- a. Coverage B-**Business** property;
- b. Incidental Coverages; and
- c. Any additional coverage made a part of this policy

We pay only that part of the loss over the deductible amount stated in the Declarations or any endorsement. The deductible applies to all covered losses unless otherwise stated in the Declarations or any endorsement. If coverage is also restricted by special limits of insurance, **our** liability must separately computed under both the deductible and the special limit of insurance. **We** pay the lesser of the two amounts.

5. **Amount Of Insurance**-**We** are not liable in any one loss for more than the amount of insurance specified in the Declarations, any endorsement or any special limits shown in the policy.

6. **Territory**-Coverage applies to property only while it is located within the United States of America or Canada.

7. **Insurance Under More than One Coverage**-If more than one coverage of this policy covers the same loss, **we** pay no more than the actual claim, loss or damage sustained.

8. **Insurance Under More than One Policy:**

- a. **You** may have other insurance subject to the same plan, **terms**, conditions and provisions as the insurance under this policy. If **you** do, **we** will pay **our** share of the covered loss or damage. **Our** share is the proportion that the applicable amount of insurance under this policy bears to the total amount of all insurance covering on the same basis.
- b. If there is other insurance covering the same loss or damage, other than that described in a. above, **we** will pay only for the amount of covered loss or damage in excess of the amount due from that other insurance, whether **you** can collect on it or not. But, **we** will not pay more than the applicable amount of insurance.

9. **Restoration of amount of Insurance**-Any loss **we** pay under this policy does not reduce the amount of insurance applying to a later loss.

PAYMENT OF LOSS OR CLAIM

1. In the event of loss or damages to property covered under this policy **we** will:

- a. pay the loss in money.
- b. rebuild, repair or replace with property of equivalent kind and quality, to the extent practicable, within a reasonable time.
- c. take all or any part of damaged property at the agreed or appraised value. Any property paid for or replaced shall become **our** property. **We** will give notice of **our** intent to rebuild, repair or replace within 30 days after receipt of a duly executed proof of loss.

2. **Your Property**-**We** will adjust all losses with **you**. A covered loss will be payable after a satisfactory proof of loss is received and the amount of the loss has been established either by written agreement with **you** or the filing of an appraisal award with **us**. Payment will be made to **you** unless another loss payee is named in the policy.

3. **Property of Others**-Losses to property of others may be adjusted with **you**. **We** reserve the right to adjust with and pay to the owners. Payment to the owners satisfies **our** obligation to **you** for loss to this property. **We** may also choose to defend **you** against any suits arising from claims of the owners of property.

4. **Liens for Unpaid Taxes.**

We are required by Insurance Law to deduct the claim of any tax district from the amount **we** pay **you** for a loss by fire.

To the extent **we** pay any tax district the amount certified as **your** unpaid taxes, **we** are no longer obligated to pay this amount to **you**. **Our** payment of such claim to the tax district within 30 days of the receipt of a certificate of lien shall be considered by **you** and **us** that such claim was valid and properly paid.

WHAT YOU MUST DO IN CASE OF LOSS

1. **Notice.**

a. In case of a loss or if **you** become aware of anything that indicates there might be a claim under this policy, **you** must:

- 1) promptly give **us** or **our** agent notice (in writing if requested);
- 2) promptly notify the police when the act causing the loss is also a violation of law.

b. The notice to **us** must state:

- 1) **your** name, policy number and the time, place and circumstances of the loss; and
- 2) names and addresses of any potential witnesses.

2. **Protect Property-You** must take all reasonable steps to protect covered property at and after a covered loss to avoid further damage. **We** pay for repairs which are reasonable and necessary to protect the property from further damage, provided **you** keep an accurate record of such expenses. These payments do not increase the amount of insurance otherwise applicable to the loss.
3. **Cooperation-You** must cooperate with **us** in performing all acts required by this policy.
4. **Volunteer Payments-You** must not, except at **your** own cost, voluntarily make any payments, assume any obligations, pay or offer any rewards, or incur any other expenses.
5. **Proof of Loss-You** must submit to **us** a proof of loss (sworn to by **you** if requested) within 60 days after the loss or accident containing the following information:
 - a. the time, place and circumstances of loss;
 - b. **your** interest and the interests of all others in the property involved, including all mortgages and liens on the covered property;
 - c. other policies of insurance that may cover the loss on the property;
 - d. changes in title or occupancy of the property during the policy period;
 - e. available plans and specifications of buildings or structures;
 - f. detailed estimates for repair of the damage; and
 - g. if requested, an inventory of damaged personal property showing in detail the quantity, description, cost, actual cash value and amount of loss. **You** must attach to the inventory copies of all bills, receipts and related documents that substantiate the inventory.
6. **Additional Duties-You** must:
 - a. on request, **you** and each **insured** separately, must submit to examination under oath at such times as may be reasonably required about any matter relating to this insurance or **your** claim, including **your** books and records. In such event, **your** answers must be signed;
 - b. exhibit the damaged property as often as **we** reasonably request;
 - c. produce records, including tax returns and bank microfilms of all canceled checks relating to value, loss and expenses and permit copies and extracts to be made of them as often as **we** reasonably request; and
 - d. assist in enforcing any right of recovery which **you** may have against any party causing the loss.

POLICY CONDITIONS

In addition to the policy **terms** which are contained in other sections of this policy, the following conditions also apply:

1. **Assignment**-Assignment of this policy is not valid without **our** written consent.
2. **Cancellation**.
 - a. By **you-You** may cancel this policy at any time by giving **us** written notice or returning the policy to **us** and stating when thereafter the cancellation is to be effective.
 - b. By **us-We** may cancel this policy by written notice delivered to or mailed to **you** at the address shown in the policy (and to **your** authorized agent or broker if required). Proof of delivery or mailing is sufficient proof of notice.

This notice must be delivered or mailed the required number of days prior to the effective date of the cancellation.

For a description of the number of days of required notice, refer to:

- 1) **Nonpayment of premium;**
 - 2) New policy; or
 - 3) All Other Situations.
- c. When **We** May Cancel-**We** may cancel this policy under the following conditions:
- 1) **Nonpayment of Premium**-If the premium has not been paid when due, **we** may cancel at any time by delivering or mailing to **you** the required notice at least fifteen days before cancellation is effective. Payment by **you** to the insurer, or to an agent or broker authorized to receive such payment, shall be considered timely if made within fifteen days after the mailing to **you** of a notice of cancellation for **nonpayment of premium**.
 - 2) **New Policy**-If this is a new policy which has been in effect less than sixty days, **we** may cancel for any reason by delivering or mailing the required notice to the first named **insured** at the mailing address shown in the policy at least twenty days before cancellation is effective. If upon review during this time period **we** find that a statutory provision/provisions for cancellation applies/apply, **we** may cancel this policy by mailing written notice to the first named **insured** at the mailing address shown in the policy at least fifteen days before cancellation is effective.
 - 3) **All Other Situations**-After a **covered policy** has been in effect for sixty days, or upon the effective date if such policy is a **renewal**, no notice of cancellation shall become effective until fifteen days after notice

is delivered or mailed to the **insured** and such cancellation is based on one or more of the following statutory provisions:

- a) **Nonpayment of premium;**
 - b) Conviction of a crime arising out of acts increasing the hazard insured against;
 - c) Discovery of fraud or material misrepresentation in the obtaining of the policy or in the presentation of a claim thereunder;
 - d) After issuance of the policy or after the last **renewal** date, discovery of an act or omission, or a violation of any policy condition, that substantially and materially increases the hazard insured against and which occurred subsequent to inception of the current policy period;
 - e) Material physical change in the property insured, occurring after issuance or last annual renewal anniversary date of the policy, which results in the property becoming uninsurable in accordance with the insurer's objective, uniformly applied underwriting standards in effect at the time the policy was issued or last **renewed**; or material change in the nature or extent of the risk, occurring after issuance or last annual **renewal** anniversary date of the policy, which causes the risk of loss to be substantially and materially increased beyond that contemplated at the time the policy was issued or last **renewed**;
 - f) Required pursuant to a determination by the superintendent that continuation of the present premium volume of the insurer would jeopardize that insurer's solvency or be hazardous to the interests of policyholders of the insurer, its creditors or the public;
 - h) A determination by the Superintendent that the continuation of the policy would violate or would place the insurer in violation of the law;
 - i) Where the insurer has reason to believe, in good faith and with sufficient cause, that there is a probable risk or danger that the **insured** will destroy, or permit to be destroyed, the covered property for the purpose of collecting the insurance proceeds, provided, however, that:
 - (i) a notice of cancellation on this ground shall inform the **insured** in plain language that the **insured** must act within ten days if review by the Insurance Department of the ground for cancellation is desired pursuant to item (iii) of this subparagraph (i);
 - (ii) notice of cancellation on this ground shall be provided simultaneously by the insurer to the Insurance Department; and
 - (iii) upon written request of the **insured** made to the department within ten days from the **insured's** receipt of notice of cancellation on this ground, the Insurance Department shall undertake a review of the ground for cancellation to determine whether or not the insurer has satisfied the criteria for cancellation specified in this subparagraph; if after such review the department finds no sufficient cause for cancellation on this ground, the notice of cancellation on this ground shall be deemed null and void.
 - j) With respect to professional liability insurance policies, revocation or suspension of the **insured's** license to practice his/her profession or, if the **insured** is a hospital, it no longer possesses a valid operating certificate under section twenty-eight hundred one (a) of the Public Health Law.
- d. **We** refund the premium for the unexpired policy period on a pro rata basis.
 - e. Refund of Premium-Payment or tender of unearned premium is not a condition of cancellation. If the unearned premium is not refunded with the cancellation notice, it will be sent to **you** within a reasonable time.
 - f. Loss Notice-The company must advise the first named **insured** that he/she is entitled to loss information upon written request.

3. **Renewal/Nonrenewal.**

- a. **Nonrenewal-We** may elect not **to renew** or continue this policy by delivering or mailing to **you** and **your** authorized agent or broker written notice of **our** intent not **to renew**.
 - 1) Such notice must:
 - a) be given at least sixty but not more than one hundred twenty days in advance of the end of the **required policy period**.
 - b) state **our** specific reason(s) for **nonrenewal**.
 - c) be delivered or mailed to **you** at the address shown in the policy and to **your** authorized agent or broker. Proof of delivery or mailing is sufficient proof of notice.
 - d) Loss Notice-The company must advise the first named **insured** that he/she is entitled to loss information upon written request.

- e) Requirements for **nonrenewal** shall not apply if the named **insured**, or an agent or broker authorized by the **named insured**, or another insurer of the named **insured** has delivered or mailed written notice that the policy has been replaced or is no longer desired.
- 2) Prior to the expiration date of this policy, in the event that a late **nonrenewal** notice is provided by the insurer, the coverage under this policy shall remain in effect:
 - a) at the same **terms** and conditions contained in the expiring policy; and
 - b) at the lower of the current rates or the prior period's rates until sixty days after the notice is delivered or mailed unless the **insured** elects to cancel sooner.
- 3) In the event that a timely and substantially complete notice is not provided by the insurer prior to the expiration date of the policy, coverage shall remain in effect:
 - a) on the same **terms** and conditions of the expiring policy;
 - b) for another **required policy period**; and
 - c) at the lower of the current rates or the prior period's rates.

However, if the insurer has established the standards and procedures required by the law relating to notice requirements and the failure to comply with these standards and procedures is a result of inadvertence or clerical mistake, then the rates applicable to the remainder of the additional **required policy period** shall be the insurer's current rates at the **terms** and conditions of the expiring policy.
- d) The issuance of a late or incomplete **nonrenewal** notice by the insurer shall not create a new annual aggregate liability limit (if any) for the **covered policy**, except that the annual aggregate limit of the expiring policy shall be increased in proportion to the policy extension, including any additional **required policy period** caused by the late or incomplete notice of **nonrenewal**.
- e) If the insurer provides a timely notice of **nonrenewal** and thereafter the insurer extends the policy for ninety days or less, an additional notice of **nonrenewal** is not required with respect to the extension period.
- b. Conditional **Renewal**-We may elect **to renew** or continue this policy under certain conditions. **We** may do so by delivering or mailing to **you** and **your** authorized agent or broker written notice.
 - 1) This notice must:
 - a) be delivered or mailed to **you** at least sixty but not more than one hundred twenty days in advance of the end of the **required policy period**;
 - b) contain specific reason(s) for the Conditional **renewal**;
 - c) set forth the amount of any premium change if the increase is in excess of 10% unless the increase is due to increased insured values and/or increased coverages or is due to experience rating, retrospective rating or audit;
 - d) set forth the nature of any proposed change(s) in the policy such as change(s) in limits, change(s) in type(s) of coverage(s), reduction(s) in coverage(s), increased deductible(s) or the addition of an exclusion or exclusions;
 - e) be delivered or mailed to the named **insured** at the address listed in the policy and to an authorized agent or broker of the **insured**. Proof of delivery or mailing is sufficient proof of notice; and
 - f) include a statement advising the first named **insured** that upon written request the company will provide loss information.
 - 2) Prior to the expiration date of the policy, in the event that an incomplete or late conditional **renewal** notice is provided by the insurer, the coverage under this policy shall remain in effect at:
 - a) the same **terms** and conditions of the expiring policy, and
 - b) the lower of the current rates or the prior period's rates until sixty days after the notice is delivered or mailed unless the **insured** elects to cancel sooner.

However, if the **insured** elects to accept the **terms**, conditions and rates of the conditional **renewal** notice and renews the policy on that basis, then such **terms**, conditions and rates shall govern the policy upon expiration of such sixty-day period.
 - 3) In the event that a timely and substantially complete conditional **renewal** notice is not provided by the insurer prior to the expiration date of the policy, then coverage under the policy:
 - a) remains in effect for an additional **required policy period**;
 - b) remains at the same **terms** and conditions as the expiring policy; and
 - c) the rates for the additional **policy period** will be the lower of the current rates or the previous period's rates.

However, if the insurer has established the standards and procedures required by law relating to notice requirements, and the failure to comply with these standards and procedures is a result of inadvertence or clerical mistake, then the rates applicable to the remainder of the additional **required policy period** shall be the **insured's** current rates at the terms and conditions of the expiring policy.

- 4) The issuance of a late or incomplete conditional **renewal** notice by the insurer shall not create a new annual aggregate limit (if any) for the **covered policy**, except that the annual aggregate limit of the expiring policy shall be increased in proportion to the policy extensions including any additional **required policy period**, caused by the late or incomplete conditional **renewal** notice. However, if the **insured** accepts the **terms** of a conditional **renewal** offer, a new annual aggregate shall become effective

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- c. Alternate **Renewal** Notice Procedure-During the period of time the insurer is assessing its option(s) as to whether to **nonrenew** or conditionally **renew** a policy, the insurer must notify the **insured** and his/her authorized agent or broker.

This notice must contain the following:

- 1) The notice must be delivered or mailed at least sixty days prior to the expiration date of the policy;
- 2) The notice must be delivered or mailed to the named **insured** at the address in the policy and to an authorized agent or broker of the **insured**;
- 3) The notice must advise the **insured** that the policy will be either **nonrenewed** or **renewed** at different terms, conditions or rates;
- 4) The notice must advise the **insured** that a second notice will be sent at a later date;
- 5) The notice must advise the **insured** that coverage will continue at the same terms, conditions and rates until the later of:
 - a) the expiration date; or
 - b) 60 days after the second notice is delivered or mailed.
- 6) The second notice sent to the **insured** must advise the **insured**:
 - a) of the specific reason or reasons for **nonrenewal** or conditional **renewal**; and
 - b) of the amount of any premium increase if the increase is in excess of 10% and the nature of any other proposed changes.
- 7) The second notice must advise the first named **insured** that he/she is entitled to loss information upon written request.
- 8) If a substantially complete second notice is not delivered or mailed until after the expiration date of the policy, the **insured** is entitled to coverage under the policy:
 - a) for an additional **required policy period**;
 - b) at the same **terms** and conditions as the existing policy; and
 - c) at the lower of the current rates or the rates of the previous period.

However, if the insurer has established the standards and procedures required by law relating to notice requirements and the failure to comply with these standards and procedures is a result of inadvertence or clerical mistake, then the rates applicable to the remainder of the additional **required policy period** shall be the **insured's** current rates at the **terms** and conditions of the expiring policy.

- 9) No notice is necessary if the insurer receives a written notice from the **insured**, his/her authorized agent or broker, or another insurer that the policy is no longer desired or has been replaced.
- d. Policies Written For A Term Less Than One Year-For policies issued to an **insured** for a seasonal purpose or to a policy issued to cover a particular project that will be performed in less than one year, the following provisions apply:
 - 1) During the first sixty days such policy is in effect, no cancellation shall become effective until twenty days after written notice is delivered or mailed to the **insured** at the mailing address shown in the policy;
 - 2) After a policy has been in effect for sixty days, no notice of cancellation shall become effective until fifteen days after notice is delivered or mailed and such cancellation is based on one or more of the statutory provisions set forth in this form.
 - 3) After a policy has been in effect for sixty days, no premium increase for the term of the policy shall be made to become effective unless due to and commensurate with value added, subsequent to issuance pursuant to the policy or at the **insured's** request.

4. **Change, Modification or Waiver of Policy Terms**-A waiver or change of any **terms** of this policy must be issued by **us** in writing to be valid. **Our** request for an appraisal or examination under oath does not waive any of **our** rights.

If **we** adopt any revision of forms or endorsements during a policy period which would broaden coverage under this policy without additional premium, the broadened coverage will automatically apply to this policy. If this policy is issued on a continuous basis (with no specified expiration date), **we** may substitute or add, upon any anniversary date, forms or endorsements which are authorized for use on this policy in accordance with **our** manual rules in effect at the time.

5. **Conformity with Statute-terms** of this policy in conflict with the statutes of the state where the **premises** described in the Declarations are located, are amended to conform to such statutes.
6. **Misrepresentation, Concealment or Fraud**-This entire policy is void if, whether before or after a loss:
 - a. An **insured** has willfully concealed or misrepresented:
 - 1) any material fact or circumstance concerning this insurance; or
 - 2) an **insured's** interest herein.
 - b. There has been fraud or false swearing by an **insured** regarding any matter relating to this insurance or the subject thereof.
 - c. The notice provisions of Section 3426 of the Insurance Law shall apply to this condition.
7. **Inspection**-**We** are permitted but not obligated to inspect **your** property and operations. **Our** inspection or any resulting advice or report does not warrant that **your** property or operations are safe or healthful or are in compliance with any law, rule or regulation.
8. **Policy Premium**-if this policy is issued without a specified expiration date, it may be continued by payment of the **required premium** for the next annual period. The premium must be paid to **us** on or before each anniversary date. The policy expires on any anniversary date that the premium has not been received by **us**. The premium is subject to adjustment on the basis of the rates in effect at each anniversary date.
9. **Recoveries**-if **we** pay an **insured** for loss under this policy and lost or damaged property is recovered or payment is made by those responsible for the loss, the following provisions apply:
 - a. The **insured** must notify **us** or **we** will notify the **insured** promptly if either recovers property or receives payment;
 - b. Any proper expenses incurred by either party in making the recovery are reimbursed first;
 - c. The **insured** may keep recovered property by refunding to **us** the amount of the claim paid or any lesser amount to which **we** agree; and
 - d. If the claim paid is less than the agreed loss due to a deductible, special limit of insurance or other limiting **terms** of the policy, any recovery will be pro-rated between the **insured** and **us** based on **our** respective interests in the loss.
10. **Subrogation**.
 - a. If **we** make a payment under this policy, **we** may require that the **insured** assign to **us** his or her right of recovery against any person for the loss to the extent of the payment. The **insured** must do everything necessary to make this assignment and secure **our** rights.
 - b. **We** are not liable for any loss if an **insured** does anything after the loss occurs to impair **our** right to recover. **You** may waive **your** right of recovery in writing before a loss occurs without voiding the coverage.
 - c. If **we** pay a loss to or on behalf of an **insured** and the **insured** recovers damages from another person for the same loss, the **insured** shall hold the amount recovered in trust for **us** and shall reimburse **us** as provided under Recoveries.
11. **Suit Against Us**-No **suit** to recover for any property claim may be brought against **us** unless:
 - a. the **terms** of this policy have been fully complied with; and
 - b. the **suit** is commenced within 2 years after the loss. If any law of the state where the **premises** described in the Declarations are located makes this limitation invalid, then suit must begin within the shortest period permitted by the law.
12. **Abandonment of Property**-**We** may take the property or any part of it at the agreed or appraised value, but an **insured** may not abandon the covered property to **us** unless **we** specifically agree.
13. **Appraisal**-if **you** and **we** do not agree on the cost to repair or replace, actual cash value of or amount of loss to covered property when loss occurs, either party may demand that these amounts be determined by appraisal. If either makes a written demand for appraisal, each will select a competent, independent appraiser and notify the other of the appraiser's identity within 20 days of receipt of the written demand. The two appraisers will then select a competent, impartial umpire. If the two appraisers are unable to agree upon an umpire within 15 days, **you** or **we** can ask a judge of a court of record in the state where the property is located to select an umpire. The appraisers will then determine the amount of the damage stating separately, in detail: the cost to repair or replace, actual cash value of, and amount of loss to each building item and item of personal property. If the appraisers submit a written report of any agreement to **us**, the amount agreed upon will be the amount of damage

or value. If the appraisers fail to agree within a reasonable time, they will submit only their differences to the umpire. Written agreement so itemized and signed by any two of these three sets the cost to repair or replace, actual cash value of and amount of loss to each item. Each appraiser will be paid by the party selecting that appraiser. Other expenses of the appraisal and the compensation of the umpire will be paid equally by **you** and **us**.

14. **No Benefit to Bailee**-insurance under this policy shall not directly or indirectly benefit any hired carrier or anyone else who is paid for assuming custody of covered property.

15. **Secured Party Coverage**-Applies Only to Coverage on **Business Property**.

(This entire clause is void unless the name of a secured party is inserted in the Declarations or the Supplemental Declarations. This clause applies only to the interest of a secured party and does not affect the **insured's** rights or duties under the policy).

If a secured party is named in this policy, any loss payable on property subject to the security interest shall be payable to the secured party and **you** as interest may appear. If there is more than one security interest in the same property, the order of payment shall be the same as their order of priority. If **we** deny **your** claim, that denial shall not apply to a valid claim of a secured party if such party has:

- a. notified **us** of any change in ownership, occupancy or substantial change in risk of which the secured party became aware;
- b. paid any premium due under the policy on demand if **you** have not made such payment; and
- c. submitted a signed, sworn proof of loss within 60 days if an **Insured** has failed to do so.

Policy conditions relating to Appraisal, Suit Against **us** and Loss Payment apply to the secured party. If the policy is canceled by **us**, the secured party shall be notified at least 15 days before the date cancellation takes effect. If **we** pay the secured party for any loss for which **we** have denied payment to **you**:

- a. **we** are subrogated to all the rights of the secured party granted under the security agreement; or
- b. at **our** option **we** may pay the secured party the remaining amount due on the security agreement plus interest and receive a full assignment of the security agreement and any securities held as collateral for the agreement.

However, the secured party's interest is not covered for conversion, embezzlement or secretion by an **insured** in possession of the encumbered property, unless specifically covered and a premium is paid for such.

16. **Mortgage Clause**-Applies only to Coverage on Buildings.

(This entire clause is void unless the name of the mortgagee [mortgage holder], or trustee under a trust deed, is inserted in the Declarations. This clause applies only to the mortgagee [or trustee] and does not affect **your** rights or duties under this policy).

- a. **We** will pay for loss or damage to buildings to each mortgagee shown on the Declarations and to **you** as interests may appear. If more than one mortgagee is named in the Declarations, they shall be paid in order of priority.
- b. The mortgagee is entitled to receive loss payment even if the mortgagee has started foreclosure or other similar proceedings on the building or structure.
- c. The insurance for the mortgagee continues in effect even when **your** insurance may be void because of **your** acts, neglect or failure to comply with policy **terms** provided that the mortgagee:
 - 1) Pays any premium due under this policy at **our** request insofar as **you** have failed to do so;
 - 2) Submits a signed, sworn proof of loss within 60 days after receiving notice from **us** of **your** failure to do so; and
 - 3) Notifies **us** of any change in ownership, occupancy or substantial change in risk known to the mortgagee. If all of these conditions are met, then the **terms** of this policy will apply directly to the mortgagee.
- d. If **we** pay the mortgagee for a loss where **your** insurance may be void as a result of **your** acts, neglect or failure to comply with policy **terms** then:
 - 1) The mortgagee's rights under the mortgage will be transferred to **us** to the extent of the amount **we** pay; and
 - 2) The mortgagee's right to recover the remainder of the mortgage debt from **you** will not be impaired. At **our** option, **we** may pay the mortgagee the remaining principal and accrued interest in return for a full assignment of the mortgagee's interest and any instruments given as security for the mortgage debt.
- e. If **we** cancel this policy, **we** will give written notice to the mortgagee at least:
 - 1) 10 days before the effective date of cancellation if **we** cancel for **nonpayment of premium** or other statutory reasons; or
 - 2) 30 days before the effective date of cancellation if **we** cancel for any other reason.
- f. If **we** do not **renew** this policy, **we** will give written notice to the mortgagee at least 10 days before the expiration of this policy.

TOOLS AND EQUIPMENT

WHAT *WE* PAY FOR

Coverage titled Tools & Equipment Off Premises in form SF-511 is deleted and replaced with the following:

We pay up to \$1,000 for loss or damage from covered causes of loss to *your* unscheduled tools and equipment. Tools and equipment means the implements necessary to conduct the covered operation(s).

WHAT *WE* DO NOT PAY FOR

Section titled Exclusions That Apply in form SF-511 is deleted and replaced with the following.

We do not pay for:

1. Loss or damage due to, and confined to, wear and tear, freezing, overheating, mechanical or electrical breakdown, inherent vice, latent defect, insect or vermin and deterioration or depreciation;
2. Loss caused by any dishonest act on *your* part or the part of any other parties of interest, the employees or agents of either, or others to whom the property has been entrusted, other than carriers for hire;
3. Loss or damage caused by or resulting from war or nuclear events, however caused;
4. Loss or damage to automobiles, motor vehicles, trailers or other vehicles including, but not limited to, contractors equipment;
5. Property which is intended for or has become a permanent part of any structure; or
6. Loss or damage caused directly or indirectly by strikes, lockouts, labor disturbances, riot or civil commotion or by acts of any persons taking part in any such occurrences.

All other *terms* and conditions remain unchanged.

CONTRACTORS EXTENDER ENDORSEMENT

Basic

WHAT *WE* COVER

In addition to any coverage shown on:

1. The Declarations Page;
2. The Supplemental Declarations Page;
3. The General Policy Provisions; and
4. Any other coverage attached to *your* policy;

for an additional premium, *we* provide the following coverages or extensions of coverage subject to the *terms* contained in *your* policy. The amount *we* pay for any one covered loss will not exceed the amount of insurance specified for that loss by *your* policy.

The policy deductible provisions will apply unless specifically addressed within this endorsement.

The following coverages apply to this endorsement:

- | | |
|-----------------------------------|----------------------------|
| A. Leased And Rented Equipment | \$50,000 (30 days maximum) |
| B. Computer Coverage | As stated in form |
| C. Installation Floater | \$5,000 (\$500 Deductible) |
| D. Equipment Rental Reimbursement | \$10,000 (15 day maximum) |

COVERAGES

A. LEASED AND RENTED EQUIPMENT

1. WHAT *WE* PAY FOR

We pay for leased or rented equipment that is of a type usual to *your* trade or occupation that *you* lease or rent during the policy period when damaged by covered causes of loss. Covered causes of loss means risks of direct physical loss except as excluded or limited by *your* policy. This extension applies for a maximum of 30 days beginning the date the equipment is leased or rented. The most *we* will pay for a loss under this extension is \$50,000. *We* will pay *you* and the loss payee or other additional interest, as interests appear, for loss to leased or rented equipment under this extension. If *we* make any payment to a loss payee or other additional interest, *we* will obtain his or her rights against any other party.

B. COMPUTER COVERAGE

1. WHAT *WE* PAY FOR

We insure the property against covered causes of loss. Covered causes of loss means risks of direct physical loss except as excluded or limited by this coverage.

- a. **Equipment Coverage**-Data processing equipment, including its component parts, owned by *you*, leased or rented from others or under *your* control and for which *you* are legally liable. The amount of insurance for Equipment Coverage is \$10,000.
- b. **Media Coverage**-Converted data, programs or instructions used in *your* data processing operations including the materials on which data is recorded. This coverage applies to *your* property or for which *you* are legally liable. The amount of insurance for Media Coverage is \$10,000.
- c. **Extra Expense Coverage**-The necessary expenses in excess of normal operating expenses incurred by *you* to continue *your* customary data processing operations following direct physical loss or damage, not otherwise excluded, to real or personal property. This coverage applies from the date of loss and only for the period of time reasonably required to restore normal data processing operations. The amount of insurance for Extra Expense Coverage is \$10,000.

2. **PROPERTY NOT COVERED**

We do not cover:

- a. Property while leased or rented to others;
- b. Documents and records pertaining to *your* data processing operations unless they are converted to data form and then only in that form;
- c. Custom programs;
- d. Data or media which cannot be replaced with other of like kind or quality; or
- e. Obsolete or blank media.

3. **WHAT *WE* DO NOT PAY FOR**

We do not pay for loss or damage:

- a. Due to electrical or magnetic injury, disturbance or erasure of electronic recordings;
- b. To electrical equipment, including wiring, caused by or resulting from artificially generated electric current, except for ensuing direct loss by fire or explosion;
- c. To media caused by error in machine programming or instructions to the machine;
- d. To extra expense:
 - 1) Caused by any local or state ordinance or law regulating the construction, repair or demolition of any property; or
 - 2) Caused by or resulting from interference at the location by strikers or anyone else with:
 - a) Repairing or replacing the damaged or destroyed property; or
 - b) The resumption or continuation of the *insured's* operations;
- e. Caused by or resulting from mechanical breakdown or failure except for an ensuing direct loss by fire or explosion;
- f. Caused by or resulting from actual work upon the property; error, omission or deficiency in design, specifications, workmanship or materials; all except for ensuing direct loss by fire or explosion;
- g. Caused by rust, corrosion, dampness or dryness of atmosphere or changes in temperature unless resulting directly from physical damage to the data processing system's air conditioning facilities caused by a loss not otherwise excluded;
- h. Caused by wear and tear, deterioration, depreciation, inherent vice, latent defect, insects or vermin;
- i. Caused by any dishonest act on *your* part or the part of other parties of interest, the employees or agents of either, or others to whom the property is entrusted, other than carriers for hire;
- j. Caused by delay, loss of market or loss of income; or
- k. Caused by or resulting from:
 - 1) Hostile or warlike action in time of peace or war, including action in hindering, combating or defending against an actual, impending or expected attack by:
 - a) Any government or sovereign power (de jure or de facto), or by any authority maintaining or using military, naval or air forces;
 - b) Military, naval or air forces; or
 - c) An agent of any such government, power, authority or forces;
 - 2) Any weapon of war employing atomic fission or radioactive force whether in time of peace or war; or
 - 3) Insurrection, rebellion, revolution, civil war, usurped power, or action taken by governmental authority in hindering, combating or defending against such an occurrence; seizure or destruction under quarantine or customs regulations, confiscation by order of any government or public authority, or risks of contraband or illegal transportation or trade.

4. **HOW MUCH *WE* PAY FOR LOSS OR CLAIM**

The following provisions apply in addition to those contained in this policy.

- a. **Equipment Coverage**-Equipment shall be valued at its replacement cost at the time of loss but not exceeding the lesser of the following amounts:
 - 1) The replacement cost of the property equivalent to the property sustaining the loss and intended for the same use;
 - 2) The amount actually and necessarily expended in repairing or replacing the property; or
 - 3) The amount of insurance shown in this form.

You may elect to disregard this provision and make claim on an actual cash value basis. However,

further claim for any additional amount on a replacement cost basis may then be made, provided *we* are notified of such intention in writing within 180 days after the date of loss.

- b. **Media Coverage**-The value shall not exceed the actual cost of reproducing such property.

C. INSTALLATION FLOATER

1. WHAT *WE* PAY FOR

We insure property that is to be installed at a job site against covered causes of loss, including theft up to \$5,000. Covered causes of loss means risks of direct physical loss except as excluded or limited by this coverage. *We* insure the property while in transit to, while in temporary storage at and while being installed at the construction or installation site. This insurance extends to the property of others for installation that is in *your* care, custody or control to the extent of *your* financial interest in such property. Examples of such property are windows, doors, siding, roofing materials, etc.

2. WHAT *WE* DO NOT PAY FOR

We do not pay for:

- a. Tools, equipment or other property that is not intended to become a part of the installation;
- b. Loss or damage due and confined to wear and tear, freezing, overheating, mechanical or electrical breakdown, inherent vice, latent defect, insect or vermin, deterioration or depreciation and loss caused by or resulting from testing;
- c. Loss by theft including criminal acts by *you* or *your* employees or by other persons to whom *you* entrusted the property. This includes, but is not limited to, unexplained loss, mysterious disappearance and shortages disclosed on taking inventory;
- d. Breakage of glass or brittle articles unless such breakage is caused by fire or causes of loss incident to transportation;
- e. Loss or damages occurring at premises owned, leased, rented, occupied or controlled by *you*;
- f. Delay, loss of use or consequential loss of any kind including, but not limited to, suspension, lapse, termination or cancellation of any lease, license or permit or by any injunction or other process of any court, municipality or governmental authority;
- g. Loss or damage caused by or resulting from war or nuclear events, however caused;
- h. Loss or damage caused by artificially generated electrical currents unless fire ensues, and then for the loss by fire only;
- i. Loss or damage to transporting conveyances and to plans, blue prints, designs, specifications and other similar items;
- j. Loss or damage due to earth movement. This includes, but is not limited to, earthquake, landslide, mine subsidence or earth rising, sinking or otherwise shifting from any cause; or
- k. Any loss arising from any breach of a warranty or guarantee, whether *your* express or implied obligation, or any penalty or any other obligation for non-completion or non-compliance with any contract.

3. DEDUCTIBLE

A \$500 deductible applies to Installation Floater coverage.

4. ADDITIONAL CONDITIONS

- a. *We* will not be liable in any one occurrence for more than the lesser of the:
 - 1) Amount of insurance provided in this coverage;
 - 2) Actual cash value of the property at the time of loss;
 - 3) Amount recoverable after application of any limiting clause; or
 - 4) *Insured's* financial interest of the property.
- b. At *our* option, any loss to property of others may be settled with and paid directly to the owners of that property.
- c. In the presence of other insurance applicable to the property insured by this endorsement, this insurance will apply only as excess over such other insurance.
- d. If there is loss to any part of an item which consists of several parts when complete, *we* are liable only for the actual cash value of that part and such loss is not considered a total loss of the item.
- e. This endorsement applies only to installation property while it is located within the United States of America or Canada.

- f. Coverage under this endorsement terminates when one of the following first occurs:
 - 1) The purchaser accepts the property;
 - 2) **Your** interest in the property ceases; or
 - 3) This endorsement is canceled or otherwise terminated.

D. EQUIPMENT RENTAL REIMBURSEMENT

1. WHAT *WE* PAY FOR

We will pay the reasonable cost for the rental of substitute equipment when property scheduled on MR-72 Contractors' Equipment Form is rendered inoperative by a covered cause of loss. Reimbursement is limited to a maximum of 15 days per occurrence, or 20% of the value of lost owned scheduled equipment, up to \$10,000.

2. ADDITIONAL CONDITIONS

- a. Coverage for rental reimbursement of equipment incepts 48 hours after notice of loss is received by *us*.
- b. *We* will pay pro-rata shares of the per day rate, but not less than 50% on any partial day.
- c. *We* are liable only for the expense of rental of identical or substantially similar equipment.
- d. *You* must resume operations as soon as practicable following any loss. *You* must resume partial operations when that operation will reduce or eliminate the additional expense being incurred.
- e. *You* must substitute other equivalent equipment at *your* disposal, if any such equipment is not in use.
- f. *You* must notify the police when the cause of loss is a violation of the law.

3. EXCLUSION

This coverage does not include equipment already being rented.

All other *terms* and conditions remain unchanged.



NOTICE OF TERRORISM INSURANCE COVERAGE

Refer to Supplemental Declarations if information is not shown on this form.

The portion of **your** annual premium that is attributable to coverage for acts of terrorism is \$ _____.

Coverage for **acts of terrorism** is included in **your** policy. The term **act of terrorism** as defined in Section 102(1) of the Terrorism Risk Insurance Act, as amended in 2015 (the Act), means any act that is certified by the Secretary of the Treasury—in consultation with the Secretary of Homeland Security, and the Attorney General of the United States—to be an **act of terrorism**; to be a violent act or an act that is dangerous to human life, property, or infrastructure; to have resulted in damage within the United States, or outside the United States in the case of certain air carriers or vessels or the premises of a United States mission; and to have been committed by an individual or individuals as part of an effort to coerce the civilian population of the United States or to influence the policy or affect the conduct of the United States Government by coercion.

To the extent coverage for such certified **acts of terrorism** is provided by **your** policy, any losses resulting from certified **acts of terrorism** may be partially reimbursed by the United States Government under a formula established by the Act. Under the formula, the United States Government reimburses the following percentage of covered terrorism losses exceeding the statutorily established deductible paid by the Granite Row providing the coverage: 85% through 2015; 84% beginning on January 1, 2016; 83% beginning on January 1, 2017; 82% beginning on January 1, 2018; 81% beginning on January 1, 2019 and 80% beginning on January 1, 2020.

The Act contains a \$100 billion cap that limits U.S. Government reimbursement as well as insurers' liability for losses resulting from certified **acts of terrorism** when the amount of such losses exceeds \$100 billion in any one calendar year. If the aggregate insured losses for all insurers exceed \$100 billion, **your** coverage may be reduced. As such, if aggregate insured losses resulting from certified **acts of terrorism** exceed \$100 billion dollars in any one calendar year beginning January 1 and ending December 31, the Treasury will not pay for any portion of the amount of those losses that exceed the \$100 billion cap.

Should the Secretary of the Treasury make a determination that the aggregate amount of loss from certified **acts of terrorism** has exceeded the \$100 billion cap in a calendar year beginning January 1 and ending December 31, and **we** have met our insurer deductible under the Act, then **we** will not pay for any portion of loss resulting from a certified **act of terrorism** that exceeds \$100 billion. Should the loss resulting from certified **acts of terrorism** exceed \$100 billion in any one calendar year beginning January 1 and ending December 31, any covered losses up to \$100 billion are subject to pro rata allocation according to procedures established by the Secretary of the Treasury under the Act.

Any coverage provided by **your** policy in compliance with the Act is limited by the **terms**, conditions, limits, exclusions and other provisions of **your** policy. The **terms** of this coverage are not intended to provide coverage for any loss or damage that would be otherwise excluded under this policy by any other exclusion(s) that address war, military action or nuclear hazards.

No terrorism exclusion or limitation is permitted to the extent that coverage is otherwise required by law. Accordingly, no such exclusion or limitation is permissible for coverage with respect to the peril of fire that is subject to New York Insurance Law Section 3404 or for workers' compensation insurance. An **insured** cannot voluntarily waive this statutorily mandated coverage.

All other **terms** and conditions remain unchanged.



NY STATUTORY ENDORSEMENT

Refer to Supplemental Declarations if information is not shown on this form.
The amendment under this endorsement is subject to the **terms** contained in **your** policy.

The following provisions are added to **your** policy.

1. Failure to give any notice required to be given by this liability policy within the time prescribed shall not invalidate any claim made by the **insured**, injured person or any other claimant, unless the failure to provide timely notice has prejudiced **us**, except when it shall be shown not to have been reasonably possible to give such notice within the prescribed time and that notice was given as soon as was reasonably possible thereafter.
2. With respect to a claim for personal injury or wrongful death of any person, if **we** disclaim liability or deny coverage based upon the failure to provide timely notice, then the injured person or other claimant may maintain an action directly against **us**, in which the sole question is **our** disclaimer or denial based on the failure to provide timely notice, unless within sixty days following such disclaimer or denial, the **insured** or the insurer:
 - a. initiates an action to declare the rights of the parties under the insurance policy; and
 - b. names the injured person or other claimant as a party to the action.

All other **terms** and conditions remain unchanged.



RENEWAL ENDORSEMENT

Refer to Supplemental Declarations if information is not shown on this form.

We provide coverage under this endorsement subject to the **terms** contained in the General Policy Provisions.

This policy may be continued by payment of the required premium for the next policy period. The premium must be paid to **us** as specified in the premium notice.

If any of the forms attached to **your** policy are revised, *we* will enclose a copy of that revision with **your** renewal policy.

If *we* adopt any revision of forms or endorsements during a policy period which would broaden coverage under this policy without additional premium, **your** policy will be liberalized to include that broadened coverage.

THIS CONTINUATION CERTIFICATE IS CONDITIONED ON PAYMENT OF THE REQUIRED PREMIUM FOR THE NEXT POLICY PERIOD. THIS IS AN IMPORTANT INSURANCE DOCUMENT AND IT SHOULD BE RETAINED WITH YOUR POLICY.

PLEASE REFER TO YOUR POLICY FOR A COMPLETE DESCRIPTION OF YOUR COVERAGES AND FORMS. PLEASE CONTACT YOUR AGENT FOR ASSISTANCE. THANK YOU.



Risk Management & Loss Prevention Tips

ARTISAN CONTRACTOR'S

1.

Theft of Tools & Equipment: Claim Amount: \$8,100

Claim: Insured stored their equipment in a trailer, which was left at the job overnight. The trailer was broken into and the equipment in the trailer was stolen.

Solution: The trailer should have been removed from the jobsite at the end of each workday to mitigate the loss

2.

Fire Damage Claim Amount: Exceeded \$500,000

Claim: Insured was hired to remove and replace a concrete patio. Sparks were created by a gas-powered cutting saw. The Insured angled the sparks away from the house, however a spark hit the house and caused a fire. The insured, before leaving for the day smelled smoke, assumed it was due to the neighbors burning leaves & brush.

Solution: Whenever using any equipment that can cause a spark, the entire area should be doused with water before and after work has been completed. If smoke is detected, the area needs to be thoroughly investigated before leaving the property.

3.

Fire Damage Claim Amount: Exceeded \$500,000

Claim: Insured was hired to stain kitchen cabinets. The rags were left in a plastic bag overnight, which then spontaneously combusted and caused a fire.

Solution: Whenever using flammable materials, rags or brushes need to be removed from the premise each day and should either be stored in a bucket filled with water or sealed in an airtight material container.

4.

Water Damage Claim Amount: \$24,800

Claim: Insured was hired for a bathroom remodel. During the course of installation, the connections on the mixing valve were left loose and the shower pan was not correctly sealed causing extensive water damage.

Solution: Connections should be double checked to ensure there are properly fastened (or in the event of flex hoses, not over tightened) and properly sealed when installed.

Please contact your Agent immediately if you have a claim or add/remove an employee.



SECURITY
MUTUAL
INSURANCE
COMPANY

Established 1887



SECURITY
COOPERATIVE
INSURANCE
COMPANY

Established 1910